

Cooperatives Act, 2017

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Amending Acts

1. Act to Amend Some Nepal Acts, 2075 2075.11.19
2. Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080 2080.12.30
3. Act to Amend Some Nepal Acts relating to Cooperative, 2081 2081.12.18

Act No. 41 of the year 2074

Preamble: Whereas, it is desirable to amend and consolidate the prevailing laws relating to cooperatives and bring them in conformity with the times, in order to integrate the capital, technology and talent scattered among the farmers, artisans, workers, low-income groups and marginalized communities or general consumers of the country, based on self-reliance and mutuality, in accordance with cooperative values, norms and principles, to uplift the economic, social and cultural status of the members, to promote and regulate cooperative societies as community-based, member-centric, democratic, autonomous and self-governing organizations, and to develop a self-reliant, sustainable and socialist-oriented national economy through cooperative farming, industry, goods and services businesses;

The Legislature-Parliament, pursuant to Sub-article (1) of Article 296 of the Constitution of Nepal, has enacted this Act. Chapter 1

Preliminary

1. Short Title and Commencement: (1) This Act shall be called the "Cooperative Act, 2074".
(2) This Act shall commence immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act:-
 - (a) "Internal Procedure" means the internal procedure prepared by a cooperative society pursuant to Section 28.
 - (b) "Offense" means the offense pursuant to Section 122.
 - (c) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.
 - (d) "Family" means the spouse, son, daughter-in-law, daughter, adopted son, adopted daughter, father, mother, stepmother, and brother, sister-in-law, younger brother, younger brother's wife and elder sister, younger sister whom a member is obliged to support. Provided that such term shall not denote a family member who has separated through partition or has separated kitchens and is engaged in their own profession or business.
 - (e) "Primary Capital Fund" means the share capital and reserve fund.

Added by the Act to Amend Some Nepal Acts relating to Cooperative, 2081.(e1) "Authority" means the

National Cooperative Regulatory Authority established pursuant to Section 103A. (f) "Savings" means the amount deposited by a member in a cooperative society. (g) "Ministry" means the Ministry of the Government of Nepal dealing with cooperative matters. (h) "Main Transaction" means the transaction constituting more than at least thirty percent of the total mobilized savings liability up to the last fiscal year and the purchase or sales transaction of membership of the last fiscal year among the commercial activities operated by an association or union. (i) "Registrar" means the Registrar designated pursuant to Section 92. (j) "Audit Supervision Committee" means the Audit Supervision Committee pursuant to Section 48. (k) "Bye-laws" means the bye-laws made by the concerned cooperative society pursuant to Section 27. (l) "Department" means the Department of Cooperatives. (m) "Share" means the divided unit of the share capital of a cooperative society. (n) "Local Level" means the rural municipality and municipality, and said term also denotes sub-metropolitan city and metropolitan city. (o) "Director" means a member of the committee, and said term also denotes the office-bearer of the committee. (p) "Member" means a person who has obtained membership of a cooperative society. (q) "Committee" means the Board of Directors pursuant to Sub-section (1) of Section 41. (r) "Cooperative Bank" means the Cooperative Bank formed Amended by the Act to Amend Some Nepal Acts, 2075.pursuant to Section 12. (s) "Cooperative Values" means internationally recognized cooperative values including self-help, self-responsibility, democracy, equality, equity, solidarity, honesty, openness, social responsibility and caring for others. (t) "Cooperative Business" means the commercial activities conducted as per the provisions of the bye-laws of the cooperative society. (u) "Cooperative Principles" means internationally recognized cooperative principles including voluntary and open membership, democratic member control, member economic participation, autonomy and independence, education, training and information, cooperation among cooperatives, and concern for community. (v) "Cooperative Society" means an association or union, and said term also denotes a Cooperative Bank. (w) "Union" means a District Subject-wise Cooperative Union, District Cooperative Union, Provincial Subject-wise Cooperative Union, Provincial Cooperative Union, Central Subject-wise Cooperative Union and Specialized Cooperative Union registered pursuant to Section 15, and said term also denotes the National Cooperative Federation registered pursuant to the same Section. (x) "Association" means a subject-wise or multi-purpose association formed pursuant to Section 3 and registered pursuant to Section 15. (y) "General Assembly" means the General Assembly of a cooperative society.

Chapter 2

Formation and Registration of Cooperative Society

3. Formation of Association: (1) At least thirty Nepali citizens may collectively form a subject-wise or multi-purpose cooperative association.

(2) Notwithstanding anything written in Sub-section (1), in the case of a cooperative association formed by workers, youth, etc., to carry out business based on their labor or skills, even fifteen Nepali citizens may form the association.

(3) Notwithstanding anything written in Sub-section (1), when forming an association conducting savings and credit transactions within a metropolitan city or sub-metropolitan city area, the participation of at least one hundred Nepali citizens shall be required.

(4) When forming an association pursuant to this Section, the number mentioned in Sub-section (1), (2) or (3) must be met at the rate of one member per family. Provided that, after the association is registered pursuant to Section 15, more than one person from the same family shall not be barred from obtaining membership of that association.

(5) Notwithstanding anything written elsewhere in this Section, at least one hundred employees, teachers or professors serving in remunerated positions in schools, universities or organized institutions operated under

grant or ownership of the Government of Nepal, Provincial Government, Local Level or such governments or levels, may collectively form an association based on their professional organization registered in accordance with prevailing law, adhering to prescribed conditions regarding membership, representation and service operation. Provided that in a single office with a number less than one hundred, at least thirty employees, teachers or professors may collectively form an association adhering to prescribed conditions regarding membership, representation and service operation. 4. Formation of District Subject-wise Cooperative Union: At least eleven associations registered and operating pursuant to Section 15 may collectively form a District Subject-wise Cooperative Union of their subject for the purpose of development, promotion, marketing, etc., of cooperative business. Provided that in districts designated as Class 'Ka' remote areas by the Government of Nepal, at least six associations may collectively form a District Subject-wise Cooperative Union. 5. Formation of District Cooperative Union: At least fifteen associations or District Subject-wise Cooperative Unions registered pursuant to Section 15 may collectively form a District Cooperative Union to support the development, promotion, marketing, etc., of cooperative business. Provided that:

(1) In districts designated as Class 'Ka' remote areas by the Government of Nepal, at least seven associations may collectively form a District Cooperative Union.

(2) When forming such a Union, more than fifty percent of the subject-wise cooperative unions registered across the district must be included. 6.

Formation of Provincial Subject-wise Cooperative Union: At least twenty-five subject-wise cooperative associations from at least five districts or subject-wise district cooperative unions registered pursuant to Section 15 may collectively form a Provincial Subject-wise Cooperative Union of their subject to support the development, promotion, marketing, etc., of cooperative business. Provided that when forming such a Union, more than fifty percent of the district subject-wise cooperative unions registered across the province must be included. 7. Formation of Provincial Cooperative Union: At least thirty-one associations from at least five districts or district cooperative subject-wise unions or district cooperative unions or provincial subject-wise cooperative unions registered pursuant to Section 15 may collectively form a Provincial Cooperative Union to support the development, promotion, marketing, etc., of cooperative business. Provided that when forming such a Union, more than fifty percent of each of the district subject-wise cooperative unions, district cooperative unions and provincial subject-wise cooperative unions registered across the province must be included. 8. Formation of Central Subject-wise Cooperative Union: At least fifty-one subject-wise associations from at least seven districts or subject-wise district cooperative unions or subject-wise provincial cooperative unions registered pursuant to Section 15 may collectively form a Central Subject-wise Cooperative Union of their subject to support the development, promotion, marketing, etc., of cooperative business. Provided that when forming such a Union, more than fifty percent of each of the subject-wise district cooperative unions or subject-wise provincial cooperative unions must be included. 9. Formation of Specialized Cooperative Union: (1) At least twenty-five multi-purpose or subject-wise associations registered pursuant to Section 15 may collectively form a Specialized Cooperative Union to carry out production works requiring large investments such as hydropower projects, chemical fertilizer factories, housing projects, transportation, heavy agricultural equipment, fruit processing, herb processing, sugar industries, cold storage, hospitals, educational institutions, technical training institutes, laboratories, or to fulfill common needs of members regarding goods or services. This shall be a fully commercial entity. It shall not have the right to elect or be elected to any union or federation. (2) The operating procedure for this shall be as prescribed. 10.

Formation of National Cooperative Federation: (1) For promoting good governance in the cooperative sector based on cooperative values, norms and principles, the following associations or unions may collectively form a National Cooperative Federation:- (a) More than fifty percent of the District Subject-wise Cooperative

Unions formed pursuant to Section 4, (b) More than fifty percent of the District Cooperative Unions formed pursuant to Section 5, (c) More than fifty percent of the Provincial Subject-wise Cooperative Unions formed pursuant to Section 6, (d) More than fifty percent of the Provincial Cooperative Unions formed pursuant to Section 7, (e) More than fifty percent of the Central Subject-wise Cooperative Unions formed pursuant to Section 8. (2) Notwithstanding anything written in Sub-section (1), a National Cooperative Union registered at the time of commencement of this Act shall be deemed to have been converted into a National Cooperative Federation under this Act. 11. No Formation of More than One Union: Notwithstanding anything written in Sections 4, 5, 6, 7, 8 and 10, more than one District Subject-wise Cooperative Union or District Cooperative Union of the same nature in one district, more than one Provincial Subject-wise Cooperative Union or Provincial Cooperative Union of the same nature in one province, more than one Central Subject-wise Cooperative Union of the same nature at the central level, and more than one National Cooperative Federation at the national level shall not be formed. 12. Formation of Cooperative Banks: (1) Associations or unions may collectively form Cooperative Banks with the prior approval of Nepal Rastra Bank, aiming to accept savings from or provide loans or banking services to such associations or unions. (2) Notwithstanding anything written in Sub-section (1), a National Cooperative Bank operating at the time of commencement of this Act shall be deemed to have been formed under this Act. (3) Other provisions regarding the formation of Cooperative Banks shall be as prescribed. 13. Prohibition on Operating Cooperative Society without Registration: No person shall operate a cooperative society without registering it under this Act. 14.

Application for Registration: (1) Government entities formed under this Act shall submit an application for registration to the officer authorized by the Registrar, in the case of an association under Section 3, a District Subject-wise Union under Section 4, or a District Cooperative Union under Section 5; and to the Registrar, in the case of a Provincial Subject-wise Cooperative Union under Section 6, a Provincial Cooperative Union under Section 7, a Central Subject-wise Cooperative Union under Section 8, a Specialized Union under Section 9, a National Cooperative Federation under Section 10, or a Cooperative Bank under Section 12, in the format as prescribed. (2) The application pursuant to Sub-section (1) shall be accompanied by the following documents:- (a) Proposed bye-laws of the cooperative society, (b) Feasibility study report for operating the cooperative society, (c) Details of the number of shares and share amount agreed to be taken by members, (d) Other details as prescribed. (3) When submitting an application for registration of a Cooperative Bank pursuant to Sub-section (1), in addition to the documents mentioned in Sub-section (2), a letter of prior approval obtained from Nepal Rastra Bank shall also be attached. 15.

Requirement for Registration: (1) Upon examining the application and accompanying documents received pursuant to Sub-section (1) of Section 14, if found as follows, the Registrar or the officer authorized by the Registrar shall register such cooperative society and issue a registration certificate in the format as prescribed within thirty days from the date of application:- (a) The bye-laws submitted with the application are in accordance with this Act and the rules made under this Act, (b) There is a basis for the proposed cooperative society to operate in accordance with cooperative values, norms and principles, (c) There is a clear basis for the cooperative society to be operated and controlled in a community-based and member-centric manner, (d) Other bases as prescribed have been fulfilled. (2) If upon examination pursuant to Sub-section (1), it appears that the proposed cooperative society's bye-laws cannot be registered without amendment, the Registrar or the officer authorized by the Registrar shall, within fifteen days from the date of receipt of the application, notify the applicant specifying the amendments required in the bye-laws. (3) Notwithstanding anything written elsewhere in this Act, cooperative societies registered and operating at the time of commencement of this Act shall be deemed to be registered under this Act. (4) When registering a cooperative society pursuant to this Section, the officer under Sub-section (1) of Section 14 may prescribe

any conditions to be observed by such cooperative society. (5) If conditions are prescribed pursuant to Sub-section (4), it shall be the duty of the concerned cooperative society to comply with them. (6) Notwithstanding anything written elsewhere in this Section, in the case of metropolitan cities and sub-metropolitan cities, savings and credit cooperative societies shall be registered in one ward or within a municipality or rural municipality according to prescribed standards. (7) In the case of a Specialized Union under Section 9, registration shall only be possible in a manner that does not duplicate the services provided by the subject-wise district cooperative union or central subject-wise cooperative union. Added by the Act to Amend Some Nepal Acts relating to Cooperative, 2081. (8) Notwithstanding anything written elsewhere in this Section, after the commencement of this Sub-section, the registration of cooperative societies whose main transaction is savings and credit shall only be at the local level according to the standards determined by the Authority. 16.

Power to Refuse Registration: (1) If the conditions mentioned in Sub-section (1) of Section 15 are not met, if the applicant refuses to make amendments within the period notified for amendment of the bye-laws pursuant to the same Section, if the bye-laws are not amended within thirty days from the date of receiving such notice, or if the bye-laws are not amended as mentioned in the notice, the Registrar or the officer authorized by the Registrar may refuse to register such cooperative society. (2) If registration of a cooperative society is refused pursuant to Sub-section (1), the Registrar or the officer authorized by the Registrar shall, within three days, inform the concerned applicant in writing of the reasons for such refusal. 17. **Cooperative Society to be a Body Corporate:** (1) A cooperative society shall be a self-governing and corporate body with perpetual succession. (2) A cooperative society shall have a separate seal for its operations. (3) Subject to this Act, a cooperative society may acquire, use, sell or otherwise dispose of movable and immovable property like a person. (4) A cooperative society may sue and be sued in its own name like a person. (5) A cooperative society may enter into contracts like a person. 18.

Area of Operation of Cooperative Society: (1) At the time of registration, the area of operation of a cooperative society shall be as follows:- (a) In the case of an association whose main transaction is savings and credit, within a metropolitan city or sub-metropolitan city, one ward, (b) In the case of an association whose main transaction is savings and credit within a municipality or rural municipality and other associations, up to one local level as prescribed based on the following criteria:- (1) Mutual common bond for the practice of self-reliance among members, (2) Number of members required to operate services at a commercial level, (3) Convenient location ensuring participatory democratic control of members in the operation of the association. (2) Notwithstanding anything written in Sub-section (1), an association may, two years after being registered and commencing commercial services, expand its area of operation while maintaining a connected geographical area based on the following criteria:- (a) Need for additional operational area to increase membership in the course of developing the association's commercial activities, (b) Adoption of constructive measures to maintain direct member control over the association's operations, (c) Not being contrary to the standards determined pursuant to Sub-section (6) of Section 15. (3) Notwithstanding anything written in Sub-section (2), the area of operation may be expanded based on the nature of member residence, convenient location, local situation, and special commercial needs as prescribed. (4) Notwithstanding anything written elsewhere in this Section, for associations requiring a wider area of operation from the outset due to commercial sectors such as hydropower projects, education, linguistic, literary, cultural, health services, communication, production, storage or processing of specific agricultural or forest products, and expanding member participation, the area of operation may, at the time of registration, be established as one local level, or one district, or more than one district, or more than one province based on what is prescribed. (5) For associations operating at the time of commencement of this

Act, their area of operation shall be deemed to be established according to this Act.

Provided that after the commencement of this Act, such associations shall, within one year, submit an operational report to the Registrar or the officer authorized by the Registrar, detailing the following information up to the time of commencement of this Act:-

(a) Status of membership expansion according to province, district, local level and ward within the existing area of operation,

(b) Status of commercial service operation according to province, district, local level and ward within the existing area of operation, and

(c) Other details as prescribed.

(6) After the operational report is submitted pursuant to Sub-section (5), the Registrar or the officer authorized by the Registrar may, after conducting necessary inspections, direct the concerned cooperative society to re-determine its area of operation as follows:-

(a) Reduce the area of operation by removing provinces, districts, local levels and wards where membership has not expanded as per details mentioned in Clause (a) of Sub-section (5), or where membership has expanded below the prescribed number, or where there is no geographical continuity,

(b) Reduce the area of operation by removing provinces, districts, local levels and wards where no commercial service is being operated as per details mentioned in Clause (b) of Sub-section (5), or where commercial service operation is found to be of an amount or proportion less than the prescribed amount or proportion of total transactions,

(c) Maintain an appropriate area of operation by excluding additional provinces, districts, local levels or wards to increase commercial efficiency to cover operating costs and maintain participatory democratic control of members in the association's operation,

(d) Maintain an appropriate area of operation by excluding additional provinces, districts, local levels or wards to facilitate obtaining membership of district or provincial subject-wise unions or district or provincial unions for commercial and promotional services.

(7) If directed by the Registrar or the officer authorized by the Registrar pursuant to Sub-section (6), the cooperative society shall, within one year, amend its bye-laws and re-determine its area of operation.

(8) If the concerned cooperative society fails to re-determine its area of operation within the prescribed period pursuant to Sub-section (7), the Registrar or the officer authorized by the Registrar shall, subject to Sub-section (2), re-determine the area of operation of such cooperative society within three months.

(9) A cooperative society unsatisfied with the re-determination of the area of operation by the Registrar or the officer authorized by the Registrar pursuant to Sub-section (8) may file a petition for review to the Registrar if the decision was made by the officer authorized by the Registrar, or to the Ministry if the decision was made by the Registrar, within thirty-five days from the date of receipt of information regarding the re-determination.

(10) Upon receipt of a petition pursuant to Sub-section (9), the Registrar or the Ministry shall complete the review within sixty days.

(11) Notwithstanding anything written elsewhere in this Section, a cooperative society may voluntarily amend its bye-laws at any time to re-determine its area of operation by reducing it.

(12) Other provisions relating to re-determination of the area of operation shall be as prescribed.

(13) The procedure for expanding the area of operation pursuant to Sub-sections (2) and (3) shall be as prescribed.

19. Area of Operation of Union and Cooperative Bank: The area of operation of unions and cooperative banks shall be as follows:-

(a) In the case of a District Subject-wise Cooperative Union or District Cooperative Union, one district,

(b) In the case of a Provincial Subject-wise Cooperative Union or Provincial Cooperative Union, one province,

(c) In the case of a Central Subject-wise Cooperative Union or National Cooperative Federation, throughout Nepal,

(d) In the case of a Specialized Union, according to the area of collection, distribution or provision of goods or services depending on the nature of such union,

(e) In the case of Cooperative Banks, as Amended by the Act to Amend Some Nepal Acts, 2075. prescribed by Nepal Rastra Bank. 20. Classification on Subject-wise Basis: Associations or unions may be classified on a subject-wise basis as prescribed. 20A. Classification of Cooperative Societies with Savings and Credit as Main Transaction: (1) The Authority shall classify cooperative societies whose main transaction is savings and credit into three tiers: national, provincial and local, based on criteria prescribed by the Authority.

(2) Notwithstanding anything written in Sub-section (1), for the purpose of classifying cooperative societies whose main transaction is savings and credit, they shall be registered with the Authority or the body designated by the Authority within one year from the date of commencement of this Section. Added by the Act to Amend Some Nepal Acts relating to Cooperative, 2081. 21. Power to Operate Transactions, Business, Industry or Project: (1) After obtaining a registration certificate pursuant to Section 15, an association or union may, subject to this Act and its bye-laws, operate necessary transactions, businesses, industries or projects to achieve its objectives under Section 24.

(2) A Cooperative Bank may operate its transactions or services only after obtaining a license from Nepal Rastra Bank.

(3) Notwithstanding anything written in prevailing law, an association or union shall not be required to register a separate entity to operate transactions, businesses, industries or projects pursuant to Sub-section (1).

Provided that if a license, approval or permit is required under prevailing law to operate such transactions, businesses, industries or projects, such transactions, businesses, industries or projects shall be operated only after obtaining the required license, approval or permit accordingly.

(4) If an association or union obtains a license, approval or permit from a body or officer authorized under prevailing law pursuant to Sub-section (3), it shall inform the Registrar or the officer authorized by the Registrar of such fact within fifteen days.

(5) Two or more associations or unions may, subject to this Act, jointly or in partnership operate necessary transactions, businesses, industries or projects for the marketing of their products or services.

(6) Other provisions relating to operating transactions, businesses, industries or projects pursuant to Sub-section (5) shall be as prescribed.

(7) Notwithstanding anything written in prevailing law, an association or union may sell and distribute products of the transactions, businesses, industries or projects operated pursuant to Sub-section (1) under a cooperative brand. Provided that if approval for obtaining such a brand is required from the concerned body under prevailing law, such approval shall be obtained accordingly.

(8) The procedure and basis for issuing certificates of origin for goods produced by an association or union shall be as prescribed. 22. Liability Limited: (1) In relation to the transactions of a cooperative society, the liability of a member shall be limited to the maximum amount of shares purchased or agreed to be purchased by him/her.

(2) The term "Cooperative" and the word "Limited" shall be included in the name of a cooperative society. 23. Observance of Cooperative Values, Norms and Principles: Cooperative values, norms and principles shall be observed in the formation and operation of a cooperative society. 23A. Observance of Standards: (1) Notwithstanding anything written elsewhere in this Act, the body regulating, inspecting and supervising

cooperative societies whose main transaction is savings and credit shall observe the directives and standards issued by Nepal Rastra Bank in that regard. Added by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.

(2) If a cooperative society under Sub-section (1) existing at the time of commencement of this Section has not maintained the standards determined by Nepal Rastra Bank, it shall maintain such standards within two years from the date of commencement of this Section. Chapter 3

Objectives and Functions of Association or Union

24. Objective of Association or Union: The main objective of an association or union shall be to achieve the economic, social and cultural prosperity of its members, being area-based and member-centric. 25.

Functions of Association or Union: An association or union shall perform the following functions:- (a) To observe and cause to observe the cooperative values, norms and principles, (b) To promote and cause to promote the interests of members and their business and market them, (c) To provide education, information and training to members and promote good governance in member associations or unions, (d) To enhance and cause to enhance mutual cooperation among associations or unions, (e) To determine standards, improve quality, and carry out works related to economic stability and risk management of production and services undertaken by associations or unions, (f) To implement internal control systems, (g) To conduct activities related to commercial promotion and development of the association or union, (h) To comply with directives of the Ministry, Registrar, Province, Local Level or Office, (i) To perform functions mentioned in the bye-laws. 26. Functions of National Cooperative Federation: The National Cooperative Federation shall perform the following functions for the promotion of member interests:- (a) To observe and cause to observe cooperative values, norms and principles, (b) To play a leadership role in promoting the interests of members, (c) To coordinate and cooperate with various bodies of the Government of Nepal for the promotion of the cooperative sector, (d) To conduct or cause to conduct commercial and market studies and research for the promotion of cooperative business, (e) To provide or cause to provide education, training and information, (f) To develop a market information system, (g) To enhance and cause to enhance mutual cooperation among associations and unions, (h) To enhance mutual cooperation, coordinate and expand relations in the international cooperative movement, (i) To promote good governance in the cooperative sector, (j) To perform functions mentioned in the bye-laws. Chapter 4 Bye-laws and Internal Procedure 27.

Requirement to Make Bye-laws: (1) A cooperative society shall, subject to this Act and the rules, directives, standards and procedures made under this Act, make bye-laws for the conduct of its operations. (2) The bye-laws pursuant to Sub-section (1) shall come into effect after being approved by the Registrar or the officer authorized by the Registrar. (3) Notwithstanding anything written in Sub-section (2), before approving the bye-laws of a Cooperative Bank, the Registrar shall consult Nepal Rastra Bank. 28.

Power to Make Internal Procedure: (1) A cooperative society may, subject to this Act and the rules, directives, standards, procedures and bye-laws made under this Act, make its internal procedure as required. (2) The internal procedure pursuant to Sub-section (1) shall come into effect after being approved by the General Assembly of the concerned cooperative society. 29. Amendment to Bye-laws and Internal Procedure: (1) The bye-laws and internal procedure may be amended by a majority of the total number of members of the General Assembly of the cooperative society. (2) The bye-laws amended pursuant to Sub-section (1) shall come into effect after being approved by the Registrar or the officer authorized by the Registrar. Chapter 5

Membership 30. Membership of Association: (1) The following Nepali citizens who have completed sixteen years of age may become members of an association:- (a) Those residing within the area of operation of the association, (b) Those who have purchased at least one share of the association, (c) Those who agree to

abide by the conditions mentioned in the bye-laws of the association, (d) Those who agree to fulfill the responsibilities of the association, (e) Those who do not conduct business in competition with the business conducted by the association. (2) Notwithstanding anything written elsewhere in this Act, bodies of the Government of Nepal, Provincial Governments, Local Levels, as well as cooperative schools and community schools, trusts, local clubs, non-profit organizations formed at the local level, production and service-based unions and organizations, and consumer groups within the area of operation of the association shall not be barred from becoming members of the association. (3) Notwithstanding anything written elsewhere in this Section, a cooperative society shall not be barred from obtaining membership in a health cooperative society. 31.

Application for Membership: (1) A person desirous of taking membership of an association shall submit an application to the committee of the association. (2) Within thirty-five days from the date of application pursuant to Sub-section (1), the committee shall, subject to this Act and the rules and bye-laws made under this Act, decide to grant or refuse membership. (3) When deciding pursuant to Sub-section (2), if the committee decides not to grant membership, it shall inform the applicant of the reasons within seven days. (4) Within thirty days from the date of receiving information pursuant to Sub-section (3), the concerned person may lodge a complaint against such association with the officer authorized by the Registrar. (5) If upon investigation of the complaint received pursuant to Sub-section (4), it appears that the applicant should be granted membership, the officer authorized by the Registrar may order the concerned association to grant membership to such applicant. (6) If an order is made pursuant to Sub-section (5), the concerned association shall, within seven days of receiving such order, grant membership to the applicant and inform the officer authorized by the Registrar thereof. 32. **Persons Ineligible for Membership:** Amended by the Act to Amend Some Nepal Acts relating to Cooperative, 2081. (1) Notwithstanding anything written elsewhere in this Act, one person shall not be a member of more than one cooperative society of the same nature. Provided that a person who is a member of more than one cooperative society of the same nature at the time of commencement of this Sub-section shall, within one year from the date of commencement of this Sub-section, retain membership of only one such society. (2) If, at the time of commencement of this Act, any artificial person, other than a body of the Government of Nepal or those mentioned in Sub-section (2) of Section 30, is a member of any association, its membership shall be terminated within five years. Provided that this Sub-section shall not apply to health and education cooperative societies registered prior to the commencement of this Act. 33.

Eligible for Membership: (1) In the District Subject-wise Union under Section 4, subject-wise associations within the district may be members. (2) In the District Cooperative Union under Section 5, associations and District Subject-wise Cooperative Unions within the district may be members. (3) In the Provincial Subject-wise Cooperative Union under Section 6, subject-wise associations and District Subject-wise Unions within the province may be members. (4) In the Provincial Cooperative Union under Section 7, associations, District Subject-wise Cooperative Unions, District Cooperative Unions and Provincial Subject-wise Cooperative Unions within the province may be members. (5) In the Central Subject-wise Cooperative Union under Section 8, subject-wise associations, District Subject-wise Unions and Provincial Subject-wise Unions may be members. (6) In the National Cooperative Federation under Section 10, District Subject-wise Unions, District Cooperative Unions, Provincial Subject-wise Unions, Provincial Cooperative Unions and Central Subject-wise Cooperative Unions may be members. (7) In Cooperative Banks, only associations and unions may be members. (8) The procedure for taking membership pursuant to this Section shall be as prescribed. 34. **Termination of Membership:** (1) The membership of a member shall terminate in the following circumstances:- (a) If the member resigns their membership, (b) If the member is absent from the annual

general assembly for three consecutive times without notice, (c) If the member repeatedly violates provisions of this Act, rules made under this Act, or bye-laws that the member is required to observe, (d) In the case of a member of an association, if the eligibility under Section 30 ceases to exist. (2) Notwithstanding anything written in Sub-section (1), if a member has any amount receivable from or payable to the cooperative society, their membership shall not terminate until such amount is settled, or until any loan taken by them, any payable liability, or any guarantee or surety given on behalf of another member is discharged. (3) Notwithstanding anything written in this Section, no person shall be removed from membership after a decision to call a General Assembly has been made and until the General Assembly is concluded. (4) Other provisions relating to termination of membership shall be as prescribed. 35. Inability to Receive Facilities: If a member fails to pay any liability payable to the cooperative society within the stipulated time, or repeatedly violates provisions of this Act, rules made under this Act, or bye-laws that the member is required to observe, such member shall not be entitled to receive facilities equal to those of other members. Chapter 6 General Assembly, Committee and Audit Supervision Committee 36.

General Assembly: (1) The General Assembly shall be the supreme body of a cooperative society. (2) All members of a cooperative society shall be members of the General Assembly. (3) The General Assembly of a cooperative society shall be as follows:- (a) Initial General Assembly, (b) Annual General Assembly, (c) Special General Assembly. 37. Functions, Duties and Powers of Initial General Assembly: The functions, duties and powers of the Initial General Assembly shall be as follows:- (a) To take note of the activities and financial transactions up to the day preceding the Initial General Assembly, (b) To approve the annual program and budget for the current fiscal year, (c) To endorse the report and financial statements, (d) To elect the committee or Audit Supervision Committee as mentioned in the bye-laws, (e) To adopt the internal procedure, (f) To appoint an auditor and determine their remuneration, (g) To perform other functions as specified in the bye-laws. 38. Functions, Duties and Powers of Annual General Assembly: The functions, duties and powers of the Annual General Assembly shall be as follows:- (a) To approve the annual program and budget, (b) To endorse the annual audit report, (c) To elect and dissolve the committee or Audit Supervision Committee, (d) To remove a Director or the Coordinator or member of the Audit Supervision Committee from office, (e) To adopt the annual report of the committee or Audit Supervision Committee, (f) To adopt the bye-laws and internal procedure, (g) To appoint an auditor and determine their remuneration, (h) To decide on matters related to merger or dissolution of the association, (i) To specify facilities including remuneration, (j) To accept external liabilities, (k) To remit 43.

Functions, Duties and Powers of the Committee: In addition to the functions, duties and powers mentioned elsewhere in this Act, the functions, duties and powers of the committee shall be as follows:-

- (a) To operate the cooperative society in accordance with the values, recognition and principles of cooperatives,
- (b) To carry out or cause to be carried out financial and administrative functions,
- (c) To call the initial general meeting, annual general meeting and special general meeting,
- (d) To implement or cause to be implemented the decisions of the general meeting,
- (e) To formulate policies, plans, budget and annual program of the cooperative society and submit them to the general meeting,
- (f) To grant membership to the cooperative society and remove from membership,

- (g) To carry out work relating to share transfer and refund,
 - (h) To take membership of the concerned federation,
 - (i) To prepare by-laws and internal procedures and submit them to the general meeting,
 - (j) To carry out or cause to be carried out necessary work for the promotion of the interests of the transaction and business of the cooperative society, remaining within the area of operation of the cooperative society,
 - (k) To carry out other functions as prescribed.
44. Not to Hold Office of Director: A director shall not be able to remain in office in any of the following circumstances:-
- (a) If his/her resignation submitted is approved by the committee,
 - (b) If a decision to remove him/her from the directorship is made pursuant to sub-section (1) of section 45,
 - (c) If he/she is a director of another cooperative society,
 - (d) If he/she is an employee of the same or another cooperative society,

Provided that the matter mentioned in the proviso to sub-section (4) of section 41 shall be as provided therein.

- (e) If he/she holds a position in the audit supervision committee of the same or another cooperative society,
- (f) If his/her death occurs.

Power to Remove a Director from Office: (1) The general meeting may, by a majority decision, remove a director from the office of director of the committee in any of the following circumstances:- (a) If he/she causes loss or damage to the concerned cooperative society by committing financial misappropriation, (b) If he/she breaches the confidentiality of matters relating to the transaction of the concerned cooperative society in an unauthorized manner, (c) If he/she conducts a transaction or business of a similar nature that competes with the transaction and business of the concerned cooperative society, (d) If he/she does any act detrimental to the interests of the concerned cooperative society, (e) If he/she becomes physically or mentally incapable of working, (f) If any director lacks the qualifications mentioned in this Act, the rules or by-laws made under this Act. (2) Before making a decision to remove a director from the office of the committee, such a director shall be given a reasonable opportunity to present a defense before the general meeting. (3) If a director fails to present a defense within the period referred to in sub-section (2), or if the defense presented is not satisfactory, the general meeting may remove such a director from office. (4) A member removed from the office of director pursuant to sub-section (3) shall not be eligible to be a candidate in the election of the committee for up to two terms. (5) If a director is removed from office pursuant to sub-section (3), the general meeting shall elect another director for the remaining term to such office.

46. Not to be Involved in Decision-Making Process Involving Personal Interest: (1) A director shall not be involved in a decision-making process that involves his/her personal interest. (2) A director shall not do or cause to be done any act in the cooperative society that benefits him/her personally. (3) If a director does or causes to be done any act contrary to sub-section (1) or beyond his/her authority, such director shall be personally liable for such act, and if any loss or damage is caused to the cooperative society, members or any other person by such act, such loss or damage shall be recovered from him/her.

47. Dissolution of the Committee: (1) The general meeting may dissolve the committee in the following circumstances:- (a) If the business of the cooperative society is put at risk due to the mala fide acts of the

committee, (b) If the cooperative society fails to pay the liabilities payable within the prescribed time, (c) If the committee acts contrary to the objectives and functions mentioned in the by-laws, (d) If the committee fails to fulfill its responsibilities, (e) If the committee repeatedly violates the conditions mentioned in this Act or the rules made under this Act, or the directives given by the Registrar or an officer authorized by the Registrar. (2) If the committee is dissolved pursuant to sub-section (1), the general meeting shall elect a new committee. (3) If the committee fails to comply with the directives given by the Registrar or an officer authorized by the Registrar in accordance with this Act or the rules made under this Act, or based on the report submitted pursuant to sub-section (2) of section 40, the Registrar or the head of the office may, based on the seriousness of the matters seen during complaint or inspection, give the committee an opportunity to improve by granting a maximum period of six months, and if improvement is not made even within such period, such committee shall be dissolved. (4) If the committee is dissolved pursuant to sub-section (3), an ad hoc committee as prescribed shall be constituted by the Registrar or the officer authorized by the Registrar, to hold the election of another committee within three months from the date of such dissolution and to conduct the daily affairs of the cooperative society until such election. (5) All expenses incurred in holding the election of another committee pursuant to this section shall be borne by the concerned cooperative society. (6) Notwithstanding anything contained elsewhere in this section, the Registrar shall consult the Nepal Rastra Bank before dissolving the committee of a cooperative bank, and shall act in accordance with the advice given by the Nepal Rastra Bank in this regard. 48. Formation of Audit Supervision Committee: (1) In a cooperative society, the general meeting shall form an audit supervision committee, comprising one coordinator and two members who possess the prescribed qualifications, through election, to strengthen the internal control system. (2) More than one person from the same family shall not be eligible to be candidates for or be elected to the positions of director or coordinator or member of the audit supervision committee of the same cooperative society at the same time. 49.

Functions, Duties and Powers of the Audit Supervision Committee: (1) The functions, duties and powers of the audit supervision committee shall be as follows:- (a) To conduct or cause to be conducted internal audit of the cooperative society every quarter, (b) To follow or cause to be followed the basic principles of auditing while conducting internal audit, (c) To inspect and evaluate or cause to be inspected and evaluated financial and economic transactions, (d) To conduct regular supervision of the work and activities of the committee and provide necessary suggestions to the committee, (e) To monitor whether the directives, decisions of the general meeting and decisions of the committee have been implemented, (f) To submit the audit report and the annual report on the supervision of the work and activities of the committee to the general meeting, (g) If the interests of any cooperative society are adversely affected due to non-implementation of suggestions given repeatedly, or if there is widespread misappropriation or irregularity of the cash or kind property of such society, or if the society is about to fall into serious financial crisis, to recommend to the committee to call a special general meeting stating the reason thereof, (h) To recommend three names to the board of directors for the appointment of an internal auditor, if necessary. (2) The coordinator or member of the audit supervision committee shall not participate in the financial and daily administrative work of the cooperative society. Chapter-7 Mobilization of Savings and Loans 50. Transaction of Savings and Loans to be Member-Centric: (1) A cooperative society may accept savings only from its members, mobilize them, and provide loans only to members. (2) Notwithstanding anything contained in sub-section (1), a thematic or multi-purpose cooperative society, other than a society registered with the main objective of transacting savings and loans, shall not transact savings and loans as its main business. Provided that, if any such society was registered as a multi-purpose or thematic society before the commencement of this Act and was conducting savings and loan transactions as its main business, such societies may, within three years,

conduct the main business mentioned at the time of registration in such a way that savings and loans are not the main business. (3) In loans provided by a cooperative society to its members, service charges and renewal charges shall be as determined by the procedure of the concerned society, unless otherwise specified by the Registrar. (4) The difference between the interest rates on savings and loans shall not exceed six percent. (5) Interest payable on loans provided by a cooperative society shall not be capitalized into the principal amount and interest levied on that basis.

Amended by the Some Nepal Acts Amendment Act, 2075.(6) A cooperative society shall not use savings amounts for purchasing immovable property, infrastructure construction, investment in business, purchase of shares of firms, companies or any other bank, or for any other purpose, except for investing in loans among members, purchasing bonds issued by the Government of Nepal, or purchasing shares of a cooperative bank or a Small Farmers Microfinance Institution.

(7) A cooperative society may collect savings up to fifteen times its primary capital fund.

(8) A society or federation shall not make loan investments to a member who is not among the members at the time of registration until a period of three months has elapsed from the date of obtaining membership. 51.

Power to Prescribe Reference Interest Rate: (1) The Registrar may, on the recommendation of the committee as follows, prescribe a reference interest rate for savings and loans for the purposes of cooperative societies and the maximum limit of transactions under sub-section (4) of section 41:-

(a) Registrar - Coordinator

(b) Representative, Ministry - Member

(c) Representative, Ministry of Finance - Member

(d) Representative, Nepal Rastra Bank - Member

(e) Representative, National Cooperative Development Board - Member

(f) President of the National Cooperative Federation or a director representative designated by him/her - Member

(g) Representative, National Cooperative Bank - Member

(h) President of the Federation or one director designated by him/her and two persons from central thematic federations designated by the Federation - Member

(i) Deputy Registrar, Cooperative Department - Member Secretary

(2) The reference interest rate prescribed pursuant to sub-section (1) shall serve as a guiding interest rate for cooperative societies.

(3) The basis and procedure for determining the reference interest rate shall be as prescribed. Amended by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081.52. Limit of Individual Savings and Loans:

(1) The limit of an individual member's savings in a cooperative society may be up to ten percent of the primary capital fund of the concerned cooperative society.

(2) A member of a cooperative society shall not be provided with a loan amount exceeding fifteen percent of the primary capital fund.

(3) The limit of an individual's savings pursuant to sub-section (1) may be modified by the Authority as necessary by setting standards. Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081.52A. Source to be Disclosed: (1) When a member deposits a savings amount exceeding ten lakh rupees in a cooperative society, the source of such amount must be mandatorily disclosed.

(2) A cooperative society shall not accept savings amount for which the member has not disclosed the source pursuant to sub-section (1).

Chapter-8

Provisions Relating to Cooperative Bank

53. Capital: (1) The capital of a cooperative bank must consist only of ordinary shares.

(2) The minimum capital of a cooperative bank shall be as prescribed by the Nepal Rastra Bank.

(3) A cooperative bank may increase its capital by passing a proposal from the general meeting with prior approval of the Nepal Rastra Bank.

(4) A cooperative bank shall increase its capital in accordance with the directives given by the Nepal Rastra Bank from time to time. 54. Functions of Cooperative Bank: Subject to this Act, the rules, by-laws made under this Act, and other prevailing laws, a cooperative bank may perform the following functions among its member institutions or federations:-

(a) To provide credit as fixed and working capital, in the prescribed proportion, to institutions or federations for activities including agriculture, industry, service, trade, energy, tourism,

(b) To accept savings from members and make payments of such savings,

(c) To make joint investments for the development and promotion of the cooperative sector, focusing on members, by entering into agreements with federations, institutions, or agencies of the Government of Nepal or provincial government, or local levels,

(d) To issue letters of guarantee on behalf of member institutions or federations, to take securities or movable or immovable property as collateral for such letters of guarantee, or to take personal guarantees with the consent of a third party,

(e) To take institutional loans as needed,

(f) To collect interest on loans, debentures, etc.,

(g) To inspect, supervise and monitor whether the credit provided by it has been utilized properly,

(h) To buy and sell bonds issued by the Government of Nepal or treasury bills issued by the Nepal Rastra Bank,

(i) To exchange information between institutions or federations and their associated members,

(j) To take savings, make payments, transfer money through electronic devices or means,

(k) To take or give loans or refinancing as needed,

(l) To disburse amounts received from internationally recognized organizations relating to cooperatives, donor agencies, banks, etc. for project promotion as development finance or credit, or to manage such resources,

(m) To conduct or cause to be conducted studies, research, surveys relating to project establishment, operation and evaluation,

(n) To conduct other banking transactions after obtaining a license from the Nepal Rastra Bank. 55. Prohibition on Lending: A cooperative bank shall not provide loans against the collateral or guarantee of its

own shares. 56. Not to Distribute Dividends: A cooperative bank shall not declare or distribute dividends until initial expenses, losses of previous years, capital fund, risk-bearing fund and reserve fund are fulfilled. 57.

Not to Purchase Goods for Commercial Purpose: A cooperative bank shall not purchase goods or immovable property for the purpose of trade, except for the work it is permitted to do under this Act and goods or immovable property necessary for its own use, and except in the situation under sub-section (6) of section 79. 58. Accounts and Records: (1) A cooperative bank shall maintain accounts and records in a format approved by the Nepal Rastra Bank, showing the true state of its transactions. (2) The accounts and records pursuant to sub-section (1) shall clearly mention the true financial position of the cooperative bank, the investments made, loans taken and given, detailed particulars of income and expenditure of other financial transactions, and details of assets and liabilities. 59. Management may be Taken Over by Nepal Rastra Bank: (1) The Nepal Rastra Bank may, in any of the following circumstances, suspend the committee of a cooperative bank, after informing the Department, and manage or cause to manage such bank by itself or through any other agency:- (a) If directives given from time to time by the Nepal Rastra Bank based on the audit report or inspection report of the cooperative bank are not complied with, (b) If any act is done against the interest of members, causing loss or damage to members, (c) If the cooperative bank is not operated efficiently and effectively, causing loss or damage to such bank. (2) Before suspending the committee of a cooperative bank pursuant to sub-section (1), the cooperative bank shall be given an opportunity of at least seven days to present a defense. (3) If upon giving the opportunity for defense under sub-section (2), no defense is presented, or the presented defense is not found satisfactory, the Nepal Rastra Bank may suspend the committee of the concerned bank and manage or cause to manage the affairs of that bank by itself or through any other agency. (4) Notwithstanding anything contained elsewhere in this section, while managing or causing to manage the cooperative bank by itself, the Nepal Rastra Bank shall also include a representative of the Department. 60.

Cancellation of Registration: (1) If a cooperative bank appears unable to pay the loans and external liabilities payable by it, the Nepal Rastra Bank may advise the Registrar to cancel such bank. (2) Before providing advice under sub-section (1), the Nepal Rastra Bank shall give such cooperative bank an opportunity of defense of at least fifteen days. (3) If advice to cancel registration is received under sub-section (1), the Registrar shall cancel the registration and appoint a liquidator pursuant to section 89. 61. Confidentiality to be Maintained: (1) The confidentiality of accounts, details of financial transactions and records relating to the transactions of a cooperative bank shall be maintained. (2) Notwithstanding anything contained in sub-section (1), there shall be no bar to providing books, accounts, details of accounts and records relating to the bank's transactions for the following purposes:- (a) To a court in the course of a case or other legal proceedings, (b) To an auditor in the course of an audit, (c) To the concerned official in the course of inspection, (d) To a person or official authorized to demand details in accordance with prevailing law, (e) To its members. 62. Liquid Assets to be Maintained: A cooperative bank shall maintain liquid assets as prescribed by the Nepal Rastra Bank. Chapter-9 Mobilization of Financial Resources 63. Provisions Relating to Sale and Refund of Shares: (1) A cooperative society may sell shares to its members. (2) Notwithstanding anything contained in sub-section (1), a cooperative society shall not sell shares to a single member exceeding twenty percent of its total share capital. Provided that this restriction shall not apply in the case of an institution or agency fully or partially owned or controlled by the Government of Nepal. (3) Notwithstanding anything contained in sub-section (1), a cooperative bank may sell its shares not only to members but also to institutions or agencies fully or partially owned or controlled by the Government of Nepal. (4) The face value of a share of a cooperative society shall be one hundred rupees per share. (5) The share capital of a cooperative society shall be as mentioned in the by-laws. (6) A cooperative society shall not sell shares in the open market. (7)

The shares of any member, which are the principal capital of the cooperative society, shall not be auctioned to satisfy any loan or liability other than the loan or liability of that same cooperative society. 64.

Provisions Relating to Refund of Amount and Operation of Accounts: (1) If any member wishes to resign from the membership of the cooperative society and take back the amount, any liability of his/her, if any, having been paid, the remaining amount shall be refunded to him/her within three months from the date of payment of such liability as prescribed. (2) If any member requests the refund of savings deposited in the cooperative society, any liability of his/her, if any, shall be deducted, and the remaining amount shall be refunded to him/her as prescribed. (3) Cooperative societies may operate all types of savings accounts. 65. Power to Take Loans or Grants: (1) A cooperative society may take loans or grants from domestic or foreign banks or institutions, federations or other agencies, or work in partnership. (2) Notwithstanding anything contained in sub-section (1), before taking loans or grants from a foreign bank or agency, approval of the Ministry of Finance shall be obtained on the recommendation of the Ministry. 66. May Obtain Guarantee of the Government of Nepal: (1) If a cooperative society needs to obtain a guarantee for loans taken from foreign banks or agencies, it may request the Ministry of Finance through the Ministry for that purpose. (2) Upon request under sub-section (1), the Ministry of Finance may provide a guarantee for such loan. (3) While providing a guarantee under sub-section (2), the Ministry of Finance may prescribe necessary conditions. Chapter-10 Fund of Cooperative Society 67. Fund of Cooperative Society: (1) The fund of a cooperative society shall consist of the following amounts:- (a) Amount received from the sale of shares, (b) Amount received in the form of savings, (c) Amount received in the form of loans, (d) Grant amount received from the Government of Nepal, (e) Amount of grant or assistance received from foreign governments or international organizations, (f) Amount earned from business activities, (g) Membership admission fee. (2) Approval of the Ministry of Finance shall be obtained before receiving the amount referred to in clause (e) of sub-section (1). 68. Reserve Fund: (1) There shall be a reserve fund in a cooperative society. (2) The fund under sub-section (1) shall consist of the following amounts:- (a) At least twenty-five percent of the net savings amount of the fiscal year, (b) Capital grant amount provided by any institution, federation or agency, (c) Amount received from the sale of fixed assets, (d) Amount received from other sources. (3) The amount of the fund under sub-section (1) shall be indivisible. 68.

Protected Capital Refund Fund: (1) There shall be a protected capital refund fund in a cooperative society. (2) After setting aside the amount referred to in clause (a) of sub-section (2) of section 68 into the reserve fund, at least twenty-five percent of the remaining amount shall be deposited annually into the fund under sub-section (1). (3) The amount under sub-section (1) shall be made available to the concerned member based on the annual transaction as prescribed. 70. Cooperative Promotion Fund: (1) There shall be a cooperative promotion fund in a cooperative society. (2) For the promotion of cooperative business, after setting aside the amount referred to in clause (a) of sub-section (2) of section 68 into the reserve fund, an amount equal to zero point five percent of the remaining amount shall be deposited annually into the fund under sub-section (1). (3) The fund under sub-section (1) shall remain with the Ministry of Cooperatives and Poverty Alleviation. (4) The method of operation of the fund shall be as prescribed. (5) The Ministry may provide an amount as prescribed in proportion to the amount deposited in the fund under sub-section (1). (6) From the amount kept in the fund under sub-section (1), the prescribed amount shall be made available to the National Cooperative Federation, the concerned thematic central cooperative federation, the provincial cooperative federation, the provincial thematic cooperative federation, the district cooperative federation, and the concerned district thematic cooperative federation. (7) For the distribution of the amount kept in the fund under sub-section (1), there shall be a committee chaired by the Minister of the concerned Ministry, with the Co-Chairperson of the National Cooperative Development Board, the Secretary of the Ministry, the Joint

Secretary of the Ministry of Finance, the President of the Cooperative Federation, the President of the Central Savings and Loan Cooperative Federation, and the Registrar as members. (8) Out of the amount received pursuant to sub-section (6), at least seventy-five percent shall be invested in the infrastructure of cooperative business, and the remaining amount shall be spent on activities including business promotion, education, information and training, market promotion, and monitoring of institutions or federations. (9) The concerned federation shall maintain separate records of the amount received pursuant to sub-section (6), have it audited in accordance with prevailing law, and make the details public as prescribed. (10) Details of expenditure and achievements of the amount receivable pursuant to sub-section (6) shall be submitted to the National Cooperative Development Board. (11) If the amount under sub-section (6) is found to be misused or used for other purposes, the Registrar or an officer authorized by the Registrar may recover such amount and prohibit the provision of the fund amount.

71. Provisions Relating to Other Funds: (1) In addition to the funds mentioned in sections 67, 68, 69 and 70, there may be other funds in a cooperative society as prescribed.

(2) The amount of the fund under sub-section (1) may be used for purposes including distribution of share dividends, in accordance with the objectives of the fund, as prescribed in the by-laws. Provided that the amount of share dividend for one year shall not exceed fifteen percent of the share capital. Amended by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081.

(3) Based on the total assets and other transaction liabilities of a cooperative bank, there shall also be other funds in that bank as prescribed by the Nepal Rastra Bank. Chapter-11

Records and Information

72. Records to be Maintained: (1) A cooperative society shall maintain updated and secure records of the decisions and proceedings of the general meeting, committee and audit supervision committee.

(2) A cooperative society shall maintain secure records of accounts of all transactions made by it and other necessary records as prescribed. 73. Details to be Provided: (1) A cooperative society shall submit a report including the following details to the Registrar or an officer authorized by the Registrar every year within the prescribed time:-

(a) Quarterly and annual reports of transactions and audit report,

(b) Annual program, policies and plans,

(c) Policy and plan relating to net savings,

(d) List of directors and remaining term,

(e) Information relating to the meeting of the general meeting,

(f) Number of share members and share capital,

(g) Amount of loan outstanding taken by directors or members,

(h) Other details prescribed by the Registrar or an officer authorized by the Registrar from time to time. Added by the Act to Amend Some Acts Relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.(1A) A cooperative society shall enter the report required to be submitted under sub-section (1) into the integrated management information system of the Department.

(2) A cooperative bank shall also submit the report under sub-section (1) to the Nepal Rastra Bank within the

74. Accounts of Transactions: The accounts of transactions of a cooperative society shall be maintained based on the double-entry bookkeeping system, clearly showing the true state of transactions, in accordance with the accounting standards implemented by an authorized agency under prevailing law and other conditions and provisions to be complied with under this Act. 75.

Audit: (1) A cooperative society shall have the accounts of each fiscal year audited by an auditor licensed in accordance with prevailing law, within three months from the date of expiry of that fiscal year. (2) If any cooperative society is found not to have got its accounts audited within the period under sub-section (1), the Registrar or an officer authorized by the Registrar may have the accounts of such cooperative society audited by a licensed auditor. (3) When having the accounts audited under sub-section (2), the amount including the remuneration payable to the auditor shall be borne by the concerned cooperative society. (4) The audit report made by the auditor under sub-section (1) or (2) shall be submitted to the general meeting for approval. (5) If the audit report submitted under sub-section (4) cannot be approved by the general meeting, the general meeting shall, subject to section 76, appoint another auditor for re-audit. (6) After completing its audit, a cooperative bank shall also submit the report to the Nepal Rastra Bank. 76. Appointment of Auditor: (1) The general meeting shall appoint one auditor from among the auditors licensed in accordance with prevailing law to perform the audit work of the cooperative society. (2) The remuneration and facilities of the auditor appointed under sub-section (1) shall be as determined by the general meeting. (3) When appointing an auditor under sub-section (1), the same person, firm or company shall not be appointed for more than three consecutive fiscal years. 77.

Persons Not Eligible to be Appointed as Auditor: (1) The following persons shall not be eligible to be appointed as auditor, and if already appointed, shall not remain in that position:- (a) A director of the cooperative society, (b) A member of the concerned cooperative society, (c) A consultant or employee appointed on a regular salary of the cooperative society, (d) A person who has not served a period of three years after being punished for an audit-related offense, (e) An insolvent person, (f) A person who has not served five years after being punished for corruption, fraud, or other criminal offenses involving moral turpitude, (g) A person, firm or company referred to in sub-section (3) of section 76, (h) A person whose interest conflicts with that of the concerned cooperative society or federation. (2) An auditor shall, before being appointed, inform the cooperative society in writing that he/she is not disqualified under sub-section (1). (3) If any auditor becomes disqualified to audit a cooperative society before the expiry of his/her term, or if a situation arises where he/she cannot remain in the position of auditor of the cooperative society, he/she shall immediately stop the audit work to be done or being done and inform the cooperative society in writing of that fact. (4) An audit conducted by an auditor appointed contrary to this section shall not be valid. Chapter-13 Exemptions, Facilities and Concessions 78. Exemptions, Facilities and Concessions: (1) Notwithstanding anything contained in prevailing law, a cooperative society shall receive exemptions, facilities and concessions as follows:- (a) A cooperative society shall not be required to register or cause to be registered any deed relating to transactions, excluding immovable property. (b) When a cooperative society purchases immovable property including land required for the construction of its office and service center building, income tax stamp duty or registration fee shall not be charged.

Provided that, in relation to the tax liability of a member on the amount received from the protected capital refund fund, it shall be as per prevailing law.

- (3) The Government of Nepal may, by publishing a notice in the Nepal Gazette, exempt, as per prevailing law, customs duty or value added tax on machinery, industrial and agricultural equipment, tools, spare parts, raw materials and transport means imported by a cooperative society for its own use.
- (4) The Government of Nepal may, by publishing a notice in the Nepal Gazette, exempt partially or fully, as per prevailing law, excise duty or value added tax on goods produced by a cooperative society.
- (5) The Government of Nepal may, by publishing a notice in the Nepal Gazette, exempt export duty on goods produced by a cooperative society when exported, and provide export cash subsidy as per prevailing law similar to that provided to industries.
- (6) In addition to the exemptions mentioned in this section, a cooperative society engaged in industrial business shall receive, as per prevailing law, the same facilities for the construction and operation of infrastructure, or a cooperative society operating a special industry, business or service shall receive the same exemptions, facilities and protection as such industry, business or service receives.
- (7) The Government of Nepal, provincial government or local level may, to promote cooperative farming or self-employment industries based on the labor or skill of members of marginalized groups including impoverished rural women, persons with disabilities, freed Kamaiyas, freed Haliyas, landless farmers, unemployed persons, laborers and Dalits and minority indigenous communities, provide partial or full exemption from any tax leviable as per prevailing law, and provide special financial facilities and technical support including seed capital, cost participation subsidy, concessional loans.
- (8) If sick public or private industries are to be cooperatized and re-operated by the workers under their own ownership, the Government of Nepal may, considering the nature of the industry, transfer ownership by providing seed capital, subsidy, loans or concessional loans in an appropriate proportion, or provide incentives by providing tax exemption, guarantee or appropriate assistance in the transfer of private ownership.
- (9) The Government of Nepal may, by publishing a notice in the Nepal Gazette, provide facilities including share participation, infrastructure construction, land or land acquisition and payment of compensation amount, partial or full exemption from excise duty or value added tax on production, to large cooperative business projects including cooperative industrial estates, marketplaces operating under the framework of specialized federations.
- (10) The procedure relating to obtaining exemptions, facilities and concessions under this section shall be as prescribed. Chapter-14
- Loan Recovery and Outstanding Dues
- 79.
- Loan Recovery: (1) If any member fails to comply with the loan agreement or conditions and undertakings made with the cooperative society, does not repay the principal, interest and penalty of the loan within the maturity of the deed, or if the loan amount is found to be misused without being used in the concerned work, the cooperative society may recover its principal, interest and penalty by auctioning the collateral kept by such member at the time of taking the loan or by making any other arrangement. (2) If a member relinquishes any right over the collateral kept in the cooperative society in any manner, or if the value of such collateral decreases for any other reason, such debtor may be required to keep additional collateral security within a specified period. (3) If the debtor fails to keep additional collateral under sub-section (2), or if the principal,

interest and penalty amount cannot be recovered even from the collateral under sub-section (1) or (2), the principal, interest and penalty may also be recovered from other attachable property of such debtor. (4) When recovering principal, interest and penalty under this section, after deducting the cost incurred and the amount of principal, interest and penalty recovered, the remaining amount shall be refunded to the concerned debtor. (5) When a cooperative society auctions the collateral or other property of a debtor under this section, it shall send a letter to the concerned office for registration or entry and deletion of such collateral or property in the name of the auction purchaser in accordance with prevailing law, and the concerned office shall accordingly register or enter and delete and inform the concerned cooperative society thereof. (6) If no one purchases the property kept as collateral under this section at auction, such property may be purchased by the concerned cooperative society itself. (7) If purchased by itself under sub-section (6), it shall send a letter to the concerned office for registration or entry and deletion in the name of the concerned cooperative society, and upon receipt of such letter, the concerned office shall accordingly register or enter and delete. (8) Other provisions relating to loan recovery shall be as prescribed. 80. Provision Relating to Blacklist: (1) The name of a person who takes a loan from a cooperative society and misuses the amount or does not repay the principal and interest of the loan within the maturity period may be published in a blacklist along with the details. (2) Other provisions relating to publication of blacklist shall be as prescribed. 81.

Credit Information Center: (1) A cooperative society engaged in the main business of savings and loans shall obtain membership of a credit information center established under prevailing law and exchange information on loan transactions. (2) The credit information center under sub-section (1) shall also perform the following credit information functions in the case of cooperative societies:- (a) To obtain information on loans provided by member cooperative societies in order to maintain objective purpose and appropriateness in the credit flow of member cooperative societies, (b) To exchange the information obtained under clause (a) among member cooperative societies for the purpose mentioned in that clause, (c) To take necessary action regarding blacklisting based on the information obtained under clause (b). (3) A member cooperative society shall provide information on loan transactions exceeding ten lakh rupees to the credit information center. (4) A member cooperative society shall mandatorily provide the name of a defaulter who fails to repay the loan on time to the credit information center every three months. 82. Debt Recovery Tribunal: (1) There shall be one Debt Recovery Tribunal for the cooperative sector. (2) Provisions relating to the formation and operation of the Debt Recovery Tribunal shall be as prescribed. 83. Recovery of Outstanding Dues: If any person fails to pay the amount payable to a cooperative society and keeps it outstanding, the cooperative society may recover such amount along with interest from the property of such person as prescribed. 84. Letter to Freeze: (1) For the purposes of sections 79 and 83, a cooperative society may send a letter to the concerned agency to freeze the account or property of any person so that ownership transfer, name transfer or sale cannot be made. (2) Upon receipt of a letter for freezing under sub-section (1), the concerned agency shall freeze such person's account or property so that ownership transfer, name transfer or sale cannot be made, in accordance with prevailing law. 85. Priority Right: If any person fails to pay a loan or any other liability payable to a cooperative society, after setting aside an amount for any claim of the Government of Nepal on such person's property, the cooperative society shall have a priority right over the remaining amount. 86. No Bar to Action: Any action taken by a cooperative society in relation to loan recovery against any person or cooperative society shall not be deemed to bar proceedings under this Act or prevailing law against such person or society for any offense. Chapter-15 Integration, Dissolution and Cancellation of Registration 87.

Provisions Relating to Integration and Division: (1) Subject to this Act, two or more cooperative societies may merge with each other for integration, or one cooperative society may be divided into two or more cooperative societies on the basis of geographical area of operation. (2) When integrating or dividing under sub 96.

Power to Conduct Inquiry: (1) If at least five percent of the members of a cooperative submit a petition for an inquiry stating that the commercial operations of a cooperative are unsatisfactory, that activities are conducted against the interests of the members, or that actions are taken contrary to the objectives of the cooperative, the Registrar or an official authorized by the Registrar may conduct or cause to conduct an inquiry into such cooperative. (2) It shall be the duty of the concerned committee to provide cooperation by making available the details or documents requested while conducting an inquiry pursuant to Sub-section (1). (3) Information about the inquiry conducted pursuant to Sub-section (1) or (2) shall be given in writing to the concerned cooperative. 97. **Special Provision Relating to Inspection and Monitoring of Institution or Association Conducting Savings and Credit Transactions:** (1) An institution or association primarily dealing in savings and credit shall adopt a monitoring system as prescribed. (2) The Registrar or an official authorized by the Registrar shall conduct inspection and monitoring based on the monitoring system as prescribed, of institutions or associations conducting savings and credit transactions. (3) While conducting inspection and monitoring of an institution or association pursuant to Sub-section (2), the Registrar or an official authorized by the Registrar may, as necessary, seek assistance from other bodies including Nepal Rastra Bank. (4) Other arrangements relating to the inspection and monitoring of an institution or association primarily dealing in savings and credit shall be as prescribed. 98. **Ministry to Conduct Inspection and Monitoring:** (1) If information is received from any source that no inspection of a cooperative has been conducted by the Registrar or an official authorized by the Registrar, or that such inspection has been ineffective, thereby adversely affecting the interests of the members, the Ministry may conduct inspection and monitoring of such cooperative and give necessary directives to the concerned cooperative. (2) If a directive is given pursuant to Sub-section (1), it shall be the duty of the concerned cooperative to comply with such directive. 99.

Association to Conduct Inspection and Monitoring: (1) An association shall conduct inspection and monitoring of the work and activities of its members as prescribed and submit the report thereof to the Department and the Office. (2) The report pursuant to Sub-section (1) shall include the following details:- (a) Details of the institution or association monitored and inspected, (b) Status of compliance with this Act, and the rules and regulations made under this Act, in the institution or association, (c) Status of services and facilities received by the members, (d) Level of participation of members, (e) Economic and financial condition of the institution or association and mobilization of funds, (f) Other arrangements as prescribed. (3) If, while monitoring pursuant to Sub-section (2), an association finds any defect in the work and activities of any institution or association under its jurisdiction, it may give suggestions or directives to the concerned institution or association to rectify such defect, and it shall be the duty of the concerned institution or association to comply with such suggestion or directive. (4) If the suggestion or directive given pursuant to Sub-section (3) is not complied with, the association shall recommend action to the Registrar or an official authorized by the Registrar. (5) Matters relating to suggestions or directives given pursuant to Sub-section (3) shall also be mentioned in the annual report of the association. 100.

Annual Report Required to be Submitted: (1) The Registrar shall, within three months from the date of expiry of the fiscal year, submit an annual report relating to the inspection of cooperatives to the Ministry, and shall also make the inspection report of the Cooperative Bank available to Nepal Rastra Bank. (2) The Office shall, within one month from the date of expiry of the fiscal year, submit an annual report of institutions or associations within its jurisdiction to the Registrar. (3) The report pursuant to Sub-sections (1) and (2) shall include the following details:- (a) Details of cooperatives in operation, (b) Number of cooperatives monitored and details of their financial transactions, (c) Status of compliance with cooperative principles, this Act, and the rules, regulations, and internal procedures made under this Act in cooperatives, (d) Status of services and facilities received by the members of cooperatives, (e) Proportion and level of member participation in the

activities of cooperatives, (f) Details as prescribed relating to the economic activities and financial condition of cooperatives, (g) Status of the internal control system in cooperatives, (h) Status of good governance and accountability in cooperatives, (i) Details of funds in cooperatives, (j) Necessary matters to assist in cooperative policy formulation, (k) Details relating to the registration, cancellation, and dissolution of cooperatives, (l) Details of transactions, businesses, industries, or projects operated by the institution or association pursuant to Section 21, (m) Other details as prescribed. Amended by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.101. Membership in Deposit and Credit Guarantee Fund Required: A cooperative primarily dealing in savings and credit, pursuant to this Act, shall obtain membership as a safe member institution of the Deposit and Credit Guarantee Fund established in accordance with the prevailing law. 102. May Operate Mutual Security Service: (1) Notwithstanding anything written in the prevailing law, an institution may, in accordance with the terms and conditions of a scheme approved by the Insurance Board, operate a mutual security service up to a prescribed maximum limit and fee to provide partial compensation for loss caused to its members due to reasons specified in the scheme, such as crops or livestock. (2) The minimum standards and other arrangements for operating a mutual security service pursuant to Sub-section (1) shall be as prescribed. 103.

Stabilization Fund: (1) For the protection of savings and credit subject matter institutions from potential risks in their operation, such institutions may together establish a Stabilization Fund. (2) The Fund pursuant to Sub-section (1) may consist of contributions from willing cooperatives, cooperatives that are members of the Central Cooperative Association for Savings and Credit, the National Cooperative Federation, the National Cooperative Bank, the National Cooperative Development Board, Nepal Rastra Bank, the Ministry, other bodies of the Government of Nepal, and international cooperative associations. (3) The Stabilization Fund shall be located at the Central Association for Savings and Credit. (4) For the operation of the Stabilization Fund, there shall be an Operations Committee as prescribed, including representatives of the Central Association for Savings and Credit, the National Cooperative Bank, the National Cooperative Federation, the National Cooperative Development Board, Nepal Rastra Bank, the Ministry, the Ministry of Finance, and the Department. (5) An institution participating in the Stabilization Fund may deposit an amount as prescribed from its annual savings, after setting aside the amount for the reserve fund pursuant to Section 68. (6) The amount of the Stabilization Fund shall be kept by opening an account in a prescribed bank. (7) The Stabilization Fund may be used for the following purposes:- (a) To provide loans to participating institutions to maintain liquidity and to rescue problematic cooperatives, (b) To bear the expenses of the management committee formed pursuant to Section 105 in the event a participating institution becomes problematic, (c) To use for the revival including payment of liabilities of a participating institution if, upon it becoming problematic, the Federation takes over the responsibility of operating such institution pursuant to clause (d) of Section 114, (d) To bear the expenses of the Stabilization Fund Operations Committee and to use for other prescribed works. (8) Other arrangements relating to the operation of the Stabilization Fund shall be as prescribed. Chapter 17A National Cooperative Regulatory Authority Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.103A. Establishment of Authority: (1) A National Cooperative Regulatory Authority is established to regulate cooperatives primarily dealing in savings and credit within the jurisdiction of the Federation, Province, and Local Level. (2) The central office of the Authority shall be located in the Kathmandu Valley. (3) The Authority shall liaise with the Government of Nepal through the Ministry. (4) The Government of Nepal may give necessary directives relating to the work and activities of the Authority. (5) The Authority shall submit its annual report to the Government of Nepal. (6) The report pursuant to Sub-section (5) shall be submitted by the Government of Nepal to the concerned committee of the Federal Parliament. 103B.

Authority to be an Autonomous and Corporate Body: (1) The Authority shall be an autonomous, self-governing, and corporate body with perpetual succession, and it shall have a legal personality. (2) As a legal person, the Authority shall exercise rights, perform duties, and fulfill liabilities in accordance with the prevailing law. 103C. Formation of Authority: (1) The Authority shall be formed as follows:- (a) A person appointed by the Government of Nepal from among individuals who have obtained at least a master's degree in economics, commerce, management, accounting, law, or cooperatives and who have worked in a gazetted special class or equivalent post of the Government of Nepal or have at least fifteen years of work experience in international or national level banks or financial institutions or cooperatives - Chairperson (b) Executive Director of Nepal Rastra Bank - Member (c) Joint Secretary of the Ministry looking after the cooperative sector - Member (d) An expert appointed by the Government of Nepal who has obtained at least a master's degree in economics, commerce, management, accounting, law, or cooperatives and has at least ten years of work experience in international or national level banks or financial institutions or cooperatives - Member (e) A Chartered Accountant appointed by the Government of Nepal from among Chartered Accountants having at least ten years of work experience - Member (2) The senior employee of the Authority shall act as the Secretary of the Authority. (3) If the post of Chairperson of the Authority becomes vacant for any reason, the Government of Nepal shall designate an officer of the gazetted special class of the Government of Nepal to work in the post of Chairperson. 103D.

103E. Appointment of Chairperson and Expert Member of Authority: (1) For the selection and recommendation of suitable persons to the Government of Nepal for the appointment of the Chairperson and Member of the Authority, a recommendation committee shall be formed as follows:-

- (a) Chairperson of the Public Service Commission or a member of that Commission designated by him/her - Coordinator
- (b) One person designated by the Ministry from among former Finance Secretaries of the Government of Nepal - Member
- (c) One expert designated by the Ministry from among persons having at least fifteen years of work experience in the economic and financial, legal or cooperative sectors - Member

(2) The recommendation committee pursuant to Sub-section (1) shall, by publishing a notice in a national daily newspaper allowing a period of fifteen days, invite applications from Nepali citizens possessing the following qualifications:-

- (a) Meeting the qualifications as per Section 103C,
- (b) Having no disqualification as per Section 103D,
- (c) Not having completed sixty years of age.

(3) Within the period mentioned in the notice pursuant to Sub-section (2), interested persons meeting the qualifications shall submit an application to the recommendation committee along with the following documents:-

- (a) Copy of Nepali citizenship certificate,
- (b) Copy of documents evidencing minimum educational qualification and experience,
- (c) Self-declaration.

(4) A person submitting an application pursuant to Sub-section (3) shall also submit, together with such application, a sealed business plan related to cooperative union/institution regulation, prepared not exceeding five thousand words, in a separate envelope.

(5) The recommendation committee pursuant to Sub-section (1) shall recommend, based on criteria set by

the committee, up to a maximum of three names for each post to the Government of Nepal for appointment to the post of Chairperson and Member.

(6) The Government of Nepal shall appoint the Chairperson and Member from among the persons recommended pursuant to Sub-section (5).

(7) The term of office of the Chairperson and Member shall be four years, and he/she may be reappointed for one further term.

(8) Notwithstanding anything written in Sub-section (7), if the Chairperson and Member do not fulfill their official duties and responsibilities, the Government of Nepal may remove him/her from office at any time. Provided that before such removal, he/she shall be given a reasonable opportunity to submit a defense. 103F.

Vacancy of Post of Chairperson and Member of Authority: The post of Chairperson or Member of the Authority shall be deemed vacant under any of the following circumstances:- (a) If his/her resignation submitted to the Government of Nepal from his/her post is accepted, (b) If he/she does not possess or no longer possesses the qualification pursuant to clauses (a), (d) or (e) of Sub-section (1) of Section 103C, or if he/she incurs or has a disqualification pursuant to Section 103D, (c) If his/her term of office expires pursuant to Sub-section (7) of Section 103E, (d) If he/she is removed from office by the Government of Nepal pursuant to Sub-section (8) of Section 103E, (e) If he/she dies. 103G. Meeting of Authority: (1) A meeting of the Authority shall be held at least once a month. (2) The meeting of the Authority shall be held on a date, time, and place specified by the Chairperson, and in case the post of Chairperson is vacant, by the senior member. Explanation: For the purpose of this Section, "senior member" means the member who is earlier in the order of appointment. (3) The Secretary shall make available to all members the agenda for discussion in the meeting at least twenty-four hours before the meeting. (4) The meeting of the Authority shall be chaired by the Chairperson, and in his/her absence, by the senior member among those present. (5) If three members are present at a meeting of the Authority, the quorum for the meeting shall be deemed to be complete. (6) The opinion of the majority shall prevail in a meeting of the Authority, and in case of a tie, the person chairing the meeting shall cast the deciding vote. (7) The Authority may invite experts on related subjects as needed to its meetings. (8) For the purpose of recording the decisions of the Authority, a separate register shall be maintained, and each decision shall be recorded in that register, and all members present at the meeting shall sign that register. (9) Other procedures relating to the meeting of the Authority shall be as determined by the Authority itself. 103H.

Functions, Duties, and Powers of Authority: (1) The functions, duties, and powers of the Authority shall be as follows:- (a) To formulate and implement national standards on matters including registration, regulation, monitoring, supervision, and reporting system of cooperatives primarily dealing in savings and credit, (b) To issue prudential standards relating to the operation of cooperatives primarily dealing in savings and credit, (c) To regulate, monitor, and supervise cooperatives primarily dealing in savings and credit, (d) The Authority may have certain powers vested in it implemented through the Registrar, Provincial Registrar, and the officer looking after cooperatives at the local level, (e) To carry out necessary works to ensure the security of depositors' savings, to conduct regular inspections of cooperatives primarily dealing in savings and credit, to receive complaints, to investigate complaints received, and to give directives to the concerned institution, (f) To prepare a roster in coordination with the Institute of Chartered Accountants of Nepal for regulation and supervision and to conduct or cause to conduct prudential audits of cooperatives primarily dealing in savings and credit, (g) To implement or cause to implement the management information reporting system of

cooperatives at the Federation, Province, and Local Level, (h) To designate inspection officers as necessary to inspect cooperatives primarily dealing in savings and credit, (i) To regulate, monitor, and supervise cooperatives primarily dealing in savings and credit at the Province and Local Level jointly in coordination with the Province and Local Level, (j) To perform other functions as prescribed relating to regulation. (2) While conducting proceedings and deciding on complaints including embezzlement of savings amounts received by the Authority, the Authority shall have the power to perform the following acts in the same manner as a District Court under the prevailing law:- (a) To summon any person before the Authority and take statements or obtain information, (b) To examine witnesses, (c) To order the production of any deed or document in any body of the Government of Nepal, Provincial Government, or Local Level or public institution, (d) To conduct or cause to conduct spot inspections and order the production of evidence. (3) The Authority may impose a fine ranging from five hundred thousand rupees to one million five hundred thousand rupees on a cooperative primarily dealing in savings and credit that fails or causes to fail to comply with any matter under this Act or rules made under this Act, and may send a letter to the concerned body to cancel the registration of such cooperative. (4) If a director, office-bearer, manager, or employee of a cooperative primarily dealing in savings and credit violates this Act or rules made under this Act, the Authority may impose a fine ranging from one hundred thousand rupees to five hundred thousand rupees on such director, office-bearer, manager, or employee, and may send a letter for action pursuant to the prevailing law against such director, office-bearer, manager, or employee. (5) A person dissatisfied with a decision made by the Authority pursuant to Sub-section (3) or (4) may appeal to the concerned High Court within thirty-five days from the date of such decision. (6) While performing functions relating to the regulation of cooperatives primarily dealing in savings and credit under this Act, the Authority shall also comply with the directives and standards issued by Nepal Rastra Bank pursuant to Section 23A. (7) The Authority may prescribe necessary conditions regarding third-party guarantees. (8) Notwithstanding anything written elsewhere in this Act, there shall be no hindrance for the Authority to regulate, monitor, and supervise cooperatives primarily dealing in savings and credit, and while doing so, it shall be done in coordination with the concerned level.

103I. Functions, Duties, and Powers of Chairperson of Authority: The functions, duties, and powers of the Chairperson of the Authority shall be as follows:-

- (a) To chair the meetings of the Authority,
- (b) To act as the administrative chief of the Authority,
- (c) To monitor, supervise, and evaluate the overall work and activities of the Authority and give necessary directives to the concerned parties,
- (d) To perform other functions as prescribed.

103J. Division of Work of Members of Authority: The division of work of the members of the Authority shall be as determined by the Authority. 103K. Service, Terms and Facilities of Chairperson and Expert Member of Authority: (1) The Chairperson and Expert Member of the Authority shall be full-time office-bearers of the Authority.

(2) The remuneration, facilities, and terms of service of the Chairperson and Expert Member of the Authority shall be as prescribed by the Government of Nepal, Cabinet. 103L. Oath Required: Before assuming office, the Chairperson and Member of the Authority shall take an oath of office and secrecy before the line Minister, in the format according to the prevailing law relating to oaths. 103M. Fund of Authority: (1) There shall be a separate fund of the Authority.

(2) The fund pursuant to Sub-section (1) shall consist of the following amounts:-

- (a) Amounts received from the Government of Nepal,
- (b) Amounts received from any foreign government or international organization,
- (c) Amounts received from other sources.

(3) Prior approval of the Ministry of Finance of the Government of Nepal shall be obtained before receiving the amounts referred to in clause (b) of Sub-section (2).

(4) The amount of the Authority's Fund shall be deposited by opening an account in a "A" class commercial bank licensed under the prevailing law relating to banks and financial institutions.

(5) The operation of the Authority's Fund and account shall be as prescribed. 103N. Audit of Authority's Fund:

(1) The accounts of income and expenditure of the Authority shall be maintained in accordance with the accounting system adopted by the Government of Nepal.

(2) The final audit of the accounts of income and expenditure of the Authority shall be conducted by the Auditor General. 103O.

Misuse of Regulatory Opportunity Prohibited: (1) The Chairperson, Member, employees of the Authority, auditors auditing cooperatives, or any person, firm, or company contracted to work with the Authority shall not, in their official capacity or while performing work on behalf of the Authority, provide any confidential information that comes to their knowledge to any other person or institution, except in circumstances where such information is required to be provided by law. (2) The office-bearers pursuant to Sub-section (1) shall not use or cause to use any confidential information that comes to their knowledge while performing work in their official capacity for the benefit, facility, concession, or advantage of themselves or any member of their family. (3) The Chairperson, Member, employees of the Authority, auditors listed by the Authority, or any person, firm, or company contracted to work with the Authority shall not, in their official capacity or while doing any work on behalf of the Authority, allow any kind of benefit, facility, concession, or advantage to themselves, their family, or anyone else. (4) If anyone does any act contrary to this Section, he/she shall be deemed to have not acted in accordance with official duties and shall be subject to action under the prevailing law. 103P. Professional Conduct to be Observed: The Chairperson, Members, and employees of the Authority shall observe professional conduct as prescribed during their tenure in office and even after leaving office. 103Q. Provisions Relating to Employees: (1) For the operation of the Authority, there shall be employees in the Authority in a number approved by the Government of Nepal. (2) The appointment, remuneration, terms of service, and facilities of the employees of the Authority shall be as prescribed. (3) Until the Authority has its own employees pursuant to Sub-section (1), employees working in any body or office of the Government of Nepal, or Nepal Rastra Bank, or a bank or financial institution with majority ownership of the Government of Nepal may be deployed on deputation by the concerned body in coordination with the Ministry, with salary and allowances payable by the Authority itself. (4) The Authority may appoint expert, technical, and assistant level employees on contract as necessary to perform its functions. (5) The Authority shall obtain prior approval from the Ministry of Finance of the Government of Nepal before undertaking any act that would increase the financial liability of the Government of Nepal. Chapter 18 Problematic Institution or Association 104.

Institution or Association May be Declared Problematic: (1) If, from an inspection or audit conducted pursuant to this Act, any of the following conditions are found to exist in an institution or association, the Registrar shall recommend to the Ministry to declare such institution or association as a problematic institution or association:- (a) Having done any act contrary to the interests of members, (b) Having failed to fulfill financial obligations required to be fulfilled by the institution or association, or being unable or in a state unable to pay liabilities that must be paid, (c) Having failed to refund the savings of members according to the prescribed terms, (d) Having operated the institution or association contrary to this Act, rules, and regulations made under this Act, (e) The institution or association being in a state of possible insolvency or suffering from significantly severe economic difficulty, (f) If at least Amended by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.ten percent of the members of an institution or association have submitted a

petition to the Registrar stating that the institution or association has not refunded the savings amount of members within the period required for refund, and upon inquiry, any condition from clause (a) to (e) is found to exist. Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.(1A) If, upon inquiry based on a complaint received by the Authority or during inspection, the conditions mentioned in Sub-section (1) are found to exist in a cooperative primarily dealing in savings and credit, the Authority shall recommend to the Ministry to declare such institution as a problematic institution. (2) Amended by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.Upon receiving a recommendation pursuant to Sub-section (1) or (1A), the Ministry may declare such institution or association as a problematic institution or association. (3) Notwithstanding anything written elsewhere in this Section, if a commission formed by the Government of Nepal pursuant to the prevailing law recommends declaring an institution or association as a problematic institution or association, or identifies it as problematic, or based on the number of complaints received by such commission, their merit, etc., the Ministry may declare such institution or association as a problematic institution or association. 105.

Formation of Management Committee: (1) In the event an institution or association is declared as a problematic institution or association under this Act, the Government of Nepal shall form a Management Committee to carry out functions relating to asset management and liability payment of such problematic institution or association. (2) The Management Committee pursuant to Sub-section (1) shall consist of a Chairperson and members as follows:- (a) A person appointed by the Government of Nepal from among persons who have served as a judge of a High Court or who have worked in the distinguished class of the Nepal Judicial Service or equivalent post - Chairperson (b) One person nominated by the Government of Nepal from among persons who have worked at least in the gazetted first class of the civil service or equivalent post - Member (c) One director representative designated by the National Cooperative Federation - Member (d) Two persons nominated by the Government of Nepal from among experts in the cooperative sector - Member (e) One person nominated by the Government of Nepal from among persons who are at least at the ninth level or equivalent post in a bank or financial institution, or are a Chartered Accountant and have worked in the supervision sector of a bank or financial institution for at least three years - Member (f) A gazetted second class officer designated by the Government of Nepal - Member-Secretary (3) The term of office of the Chairperson and members of the Management Committee shall be a maximum of two years from the date of appointment, and the Government of Nepal may extend their term by a maximum of two more years as necessary. (4) Notwithstanding anything written in Sub-section (3), if the performance of the Chairperson or member of the Management Committee is not satisfactory, the Government of Nepal may remove him/her from office at any time. (5) Before removing the Chairperson or member of the Management Committee pursuant to Sub-section (4), he/she shall be given a reasonable opportunity to submit a defense. (6) Any post of the Management Committee that falls vacant pursuant to Sub-section (4) shall be filled by the Government of Nepal subject to Sub-section (2). (7) The procedure relating to meetings of the Management Committee shall be as determined by the Committee itself. 106.

Functions, Duties and Powers of Management Committee: The functions, duties, and powers of the Management Committee shall be as follows:- (a) To exercise all rights that the General Assembly, Committee, and Audit Supervision Committee of the problematic institution or association are entitled to exercise under this Act, rules, or regulations made under this Act, (b) To summon, interrogate, take statements, and require the production of necessary documents from any person deemed necessary by the Management Committee, including members of the committee of the problematic institution or association, their families, relatives, employees of the institution, employees of other institutions, associations, or companies related to the institution or association, other persons or institutions having knowledge of relevant

facts or conducting transactions through collusion, (c) To collect accurate details and statistics of the assets and liabilities of the problematic institution or association and to study, analyze, settle accounts, and evaluate them, (d) To take possession of the assets of the problematic institution or association, (e) To take under its control the entire management, including decisions and records relating to the work and activities of the problematic institution or association, (f) To recover loans, outstanding dues, and other amounts receivable by the problematic institution or association by adopting procedures under this Act, rules, or regulations made under this Act, (g) To auction sell the property held as collateral of the problematic institution or association as necessary, in accordance with this Act, rules, or regulations made under this Act, (h) To sell, use, and manage the assets of the problematic institution or association, (i) To prepare records relating to the savings and share amounts of members and depositors of the problematic institution or association, (j) To refund or pay savings to members and depositors, (k) To exercise all powers vested in a Liquidator under this Act or rules made under this Act for the purpose of asset management and liability payment of the problematic institution or association, (l) If it is found that the directors, employees, or members of their families of the problematic institution or association have used the savings of depositors, wholly or partially, in any company, institution, or financial transaction or business, to take possession of the amount so used or the property increased thereby, and to carry out necessary proceedings for auction sale or recovery to fully compensate the depositors' savings from such property, (m) To file Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.lawsuits or legal proceedings and make legal defenses on behalf of the problematic institution or association, (n) To take possession of movable and immovable property of the problematic institution or association held in the name of directors, employees, members of their families, or other persons, or immovable property purchased from the assets of the institution or association, and to refund the savings to depositors by auction selling such property, among other actions.

Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.106A. May Form Expert Team:

(1) The Management Committee may form an expert team to obtain necessary services for the purpose of managing the assets and liabilities of the problematic cooperative pursuant to Section 106.

(2) The formation procedure of the expert team pursuant to Sub-section (1) and the functions, duties, and powers of such expert team shall be as specified by the Management Committee at the time of forming the team.

(3) While forming an expert team pursuant to Sub-sections (1) and (2), a separate team shall be formed for each problematic cooperative. 107. Inventory Preparation: For the purpose of Section 106, the Management Committee shall prepare an inventory as follows:-

(a) An inventory of the names of members, depositors, debtors, or persons or institutions to whom the problematic institution or association has to make payments,

(b) An inventory of immovable property, including apartments, owned or invested in by the problematic institution or association,

(c) An inventory of cash, gold, silver, and share investments held in bank and financial institution accounts in the name of members of the committee, employees, or their family members or related persons of the problematic institution or association,

(d) An inventory of land, buildings, and properties pledged as collateral for loans taken by the problematic institution or association,

(e) An inventory of movable and immovable property of the problematic institution or association located anywhere within the country or abroad. 108. Provision Relating to Payment of Liabilities: (1) The Management Committee shall establish the following priority for paying the liabilities of the problematic institution or association:-

- (a) Payment of savings to members according to the terms specified at the time of deposit,
- (b) Payment of outstanding government dues or claims against the estate of such institution or association or the property pursuant to clause (l) of Section 106, if any,
- (c) Payment to persons who paid amounts in advance for apartments or land to the problematic institution or association,
- (d) Payment of amounts to creditors of the problematic institution or association.

(2) If the assets of the problematic institution or association are insufficient to pay all its liabilities under this Section, the Management Committee may, while refunding members' savings and paying other liabilities, do so on a pro-rata basis. While refunding members' savings in such manner, small depositors as specified by the Management Committee shall be given priority. Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.108A.

Special Provision Relating to Refund of Savings Amount: (1) Notwithstanding anything written elsewhere in the prevailing law, savings up to five hundred thousand rupees deposited by a member of a cooperative or a cooperative declared problematic pursuant to Section 104 shall be paid out on a first priority basis. (2) In the case of savings exceeding five hundred thousand rupees deposited by a member, if the concerned institution is not in a position to make a lump sum payment, arrangements shall be made for proportional payment of the member's savings amount by formulating standards. (3) For the purpose of refunding savings amounts under this Section, the cooperative or the management committee pursuant to Section 105 may sell the assets or the collateral security taken while granting loans of such institution. (4) Before selling the collateral security taken while granting loans pursuant to Sub-section (3), the concerned debtor shall be given time to repay the loan of the cooperative, and if the loan is not repaid within that period, such collateral security shall be sold by auction. If an amount higher than the amount payable by the debtor is obtained while selling such collateral security, after deducting the debtor's dues, the remaining amount shall be refunded to such debtor. (5) The cooperative may realize the amount receivable in lieu of providing houses, land, or other machinery, tools, or equipment on lease or rent, and such amount may be used for the purpose of refunding savings amounts to member depositors. (6) If the savings amount of member depositors cannot be refunded by selling the property or collateral security due to the property or collateral security of the cooperative being attached in a court or any other body due to a lawsuit filed under this Act or for any other reason, and if it is certain that the savings amount of member depositors can be refunded by selling such property or collateral security, the cooperative or the management committee pursuant to Section 105 may request the concerned court or body for the release of the attachment. (7) If a request pursuant to Sub-section (6) is made, the concerned court or body shall release the attachment of such property or collateral security if it is not required to remain attached for any other reason. (8) For the purpose of refunding the savings amount of depositors at risk under this Section, the savings amount of member depositors shall be refunded by formulating standards and a time-bound refund action plan. 109.

May Delegate Powers: While managing the assets of the problematic institution or association, the Management Committee may delegate its powers to be exercised and performed by the Chairperson, member, or any government employee of the Management Committee. Amended by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.110. Expenses to be Borne from Assets of Institution or Association: All expenses incurred in the course of managing the assets of the problematic institution or association shall be borne from the assets of such institution or association. 111. Powers Automatically Suspended: (1) From the date of formation of the Management Committee under this Act, the powers of the committee, manager, and employees of the problematic institution or association shall be automatically

suspended after the Management Committee commences its work. (2) Notwithstanding anything written in Sub-section (1), for the purpose of carrying out functions relating to asset management and liability payment of the problematic institution or association, the Management Committee may revoke the suspension of members of the committee, manager, and employees of such institution or association and deploy them to work. (3) If deployed to work by the Management Committee pursuant to Sub-section (2), it shall be the duty of the concerned person to fulfill the responsibilities accordingly. 112. Notice Required for Submitting Claims: After the Management Committee commences its work, a public notice shall be published in a national level daily newspaper allowing a period of at least fifteen days for members, depositors, and creditors of the problematic institution or association to submit their claims for amounts receivable. Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2024.112A. Claim Required to be Submitted: After the notice is published pursuant to Section 112, members, depositors, creditors, and investors, including banks and financial institutions, of the problematic cooperative shall submit their claims for amounts receivable. 113. Audit Report Required to be Prepared: The Management Committee shall, within six months from the date of commencement of its work, audit such problematic institution or association, prepare a report thereof, and make it public. 114.

May Undertake Remedial Actions: If, based on the audit report made under this Act, there are grounds and reasons that the problematic institution or association can be revived, the Management Committee may undertake the following remedial actions:- (a) Order the committee to carry out management or operations, (b) Form an interim committee from among the share members of the concerned institution or association and cause it to carry out management or operations, (c) Dissolve the (?ha) Committing forgery with the intent to gain an advantage for oneself or another or to cause loss or detriment by erasing or omitting any matter written in any document or account of a cooperative society in any manner and rewriting it so as to produce a different meaning, or maintaining separate and distinct records, or, without the intent to cause loss or detriment to another, making a false statement about something that did not occur or stating that it did occur, or altering the date, amount, or content and making or causing to be made a document by signing, sealing, or having it signed or sealed, thereby committing or causing fraud; (?a) If an appraiser, while valuing movable or immovable property kept as collateral for a loan for auction sale or other purposes, makes an overvaluation, undervaluation, or incorrect valuation, thereby causing or causing to be caused loss or detriment to the cooperative society; (ta) If any person, with the intent to cause loss or detriment to a cooperative society, performs or causes to be performed any act, such as making or not making someone work, showing or causing to show consideration, taking or giving any kind of money, taking or giving any goods, articles or services without price or at a low price, taking or giving donations, charity, gifts or subscriptions, preparing or causing to be prepared false documents, translating or causing to be translated, or doing any act with mala fide intent to cause unlawful gain or loss; (tha) If any person conducts or causes to be conducted an audit, or prepares or causes to be prepared a false audit report, in a manner that causes loss or detriment to any cooperative society or its member or depositor or any of them. 123.

124. Punishment: (1) If any person commits an offence under Section 122, the punishment shall be as follows:-

(a) For an offence under clauses (ka), (ga), (?a) and (tha), imprisonment for a term up to one year and a fine of up to one hundred thousand rupees,

(b) For an offence under clause (?ha), imprisonment for a term up to two years and a fine of up to two hundred thousand rupees,

(c) For an offence under clause (kha), a fine equivalent to the amount of loss caused and imprisonment for a term up to three years,

(d) For an offence under clauses (gha), (?a), (cha), (chha), (ja), (jha), (ña), (?a), (?a) and (ta), in addition to recovering the loss caused, a fine according to the loss and imprisonment as follows:-

(1) If the loss is up to ten lakh rupees, imprisonment for a term up to one year,

(2) If the loss is more than ten lakh rupees up to fifty lakh rupees, imprisonment for a term of two years to three years,

(3) If the loss is more than fifty lakh rupees up to one crore rupees, imprisonment for a term of three years to four years,

(4) If the loss is more than one crore rupees up to ten crore rupees, imprisonment for a term of four years to six years,

(5) If the loss is more than ten crore rupees up to one arba rupees, imprisonment for a term of six years to eight years,

(6) If the loss is more than one arba rupees, irrespective of any amount, imprisonment for a term of eight years to ten years,

(?a) For an offence under clause (?ha), imprisonment for a term up to ten years.

(2) A person who attempts to commit an offence under Section 122 or renders assistance in committing such an offence shall be liable to half the punishment prescribed for the principal offender.

(3) If an entity or association that commits an offence under Section 122 or renders assistance in committing such an offence is a body or organization, the chief executive or office bearer or person acting in an executive capacity of such body or organization shall be liable to the punishment under this Act. 125.

Fine: (1) If, upon a complaint filed under Section 132, or during the inspection, monitoring, or audit of accounts of a cooperative society, or from any other source, any person is found to have committed any of the following acts, the Registrar or an officer authorized by the Registrar shall, based on the nature and gravity of such act, impose a fine of up to five lakh rupees on the person committing such act:- (a) If interest is charged from a member contrary to this Act or the rules made under this Act, (b) If the difference between the interest rates of savings and loans provided by the cooperative society is maintained at more than six percent, (c) If the interest on loans provided by the cooperative society is capitalized into the principal loan amount and interest is charged on that basis, (d) If a loan is provided to any member exceeding the prescribed percentage of the capital fund, (e) If a loan is invested in a member, other than those who were members at the time of registration of the society, before the expiry of a period of three months from obtaining membership, (f) If savings are collected in an amount exceeding fifteen times the primary capital fund, (g) If share dividend is distributed exceeding eighteen percent of the share capital, (h) If the cooperative society conducts business outside its area of operation or conducts business with non-members, (i) If the cooperative society grants membership to an artificial person contrary to this Act. (2) If, from the matters mentioned in sub-section (1), any person is found to have committed any of the following acts, the Registrar or an officer authorized by the Registrar may, based on the nature and gravity of such act, impose a fine of up to three lakh rupees on the person committing such act:- (a) If any directive or prescribed standard given under this Act or rules made under this Act is not complied with, (b) If any details, document, report, notice, or

information required to be furnished under this Act or rules made under this Act is not furnished, (c) If office bearers of the committee and audit supervision committee are arbitrarily changed without holding elections as per this Act, (d) If any cooperative society fails to comply with the prescribed conditions under sub-section (4) of Section 15, (e) If any other act is done contrary to this Act or the rules made under this Act. (3) Before imposing a fine under sub-section (1) or (2), the Registrar or an officer authorized by the Registrar shall give the concerned person or cooperative society a period of at least fifteen days to present a defense. (4) The power to impose a fine under sub-section (1) or (2) shall be exercised, in the case of Provincial Subject Cooperative Unions, Provincial Cooperative Unions, Central Subject Cooperative Unions, Specialized Cooperative Unions, National Cooperative Federation, and Cooperative Bank, by the Registrar, and in the case of District Subject Cooperative Unions and District Cooperative Unions, by an officer authorized by the Registrar.

126. Freezing/Seizure: (1) In addition to imposing a fine under Section 125, the Registrar or an officer authorized by the Registrar may, for a period of up to three months, freeze the transactions, assets, and bank accounts of such cooperative society and recommend to the concerned body to freeze the assets.

(2) Upon receipt of a recommendation under sub-section (1), the transactions, assets or bank accounts of such cooperative society shall be frozen, and information thereof shall be provided to the Registrar or an officer authorized by the Registrar.

127. Double Fine: Deleted by the Some Nepal Acts Amendment Act, 2075. If a person or cooperative society fined under Section 125 again commits the same offence, the Registrar or an officer authorized by the Registrar shall impose a double fine for each subsequent occasion from the second time onwards. 128. Nepal Rastra Bank may impose punishment: (1) Notwithstanding anything contained elsewhere in this Act, Nepal Rastra Bank may impose the following punishments on a Cooperative Bank that violates any condition stipulated at the time of granting a license, any order issued from time to time, or any directive given during inspection, supervision, or regulation:-

- (a) Caution or issue a written warning,
- (b) Require the Board of Directors to execute a bond/undertaking to take corrective action,
- (c) Issue a written order to cease repeated violations, refrain therefrom, and take corrective action,
- (d) Impose partial or complete restriction on transactions,
- (e) Suspend or revoke the license of the institution.

(2) If a director or employee of a Cooperative Bank violates any order, directive, or license condition issued by Nepal Rastra Bank, fails to provide documents, details, data, or records requested during inspection and supervision within the specified time, or acts against the interest of depositors or members, Nepal Rastra Bank may impose the following punishments on such director:-

- (a) Caution or admonition,
- (b) Suspend,
- (c) Impose a fine of up to five lakh rupees,
- (d) Order the committee to withhold all facilities including salary and allowances,
- (e) If such person is a director, order for removal from the post, or if an employee, order the concerned committee to take action according to the law relating to terms of service of such employee.

(3) When imposing punishment on any person under this section, a reasonable opportunity shall be given to such person to present a defense. 129.

Power to refer for investigation: The Ministry, Nepal Rastra Bank, the Registrar, or an officer authorized by the Registrar may, in the course of performing their duties, powers, and functions under this Act, if they become aware that any person has committed an offence under Section 122, refer the matter to the concerned body in writing for investigation under this Act. 130. Government of Nepal to be the plaintiff: The case relating to an offence punishable under Section 124 shall have the Government of Nepal as the plaintiff, and such case shall be deemed to be included in Schedule-1 of the Government Cases Act, 2049. 131. Authority to hear the case: The proceedings and adjudication of the case relating to an offence punishable under Section 124 shall be conducted by the concerned District Court. Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081.131a. Settlement may be allowed: (1) If a case is filed under Section 130 against the defendant on the ground of failure to pay the depositor's savings amount, misappropriation of savings amount, or cooperative fraud, and such case is sub judice in court, or in other criminal cases where settlement is permissible under prevailing law, a settlement may be made upon submission of an application stating that the member's savings amount or the misappropriated savings amount has been returned and requesting settlement. (2) Notwithstanding anything contained in sub-section (1), no settlement shall be allowed in cases relating to organized crime, money laundering, and other criminal offences where settlement is not permissible under prevailing law. (3) The settlement under sub-section (1) may also be made at the stage of execution of the judgment, and upon such settlement, the defendant shall not be required to pay the imposed punishment, fine, or loss amount, and the term of imprisonment shall also be expunged. (4) When settling a case under sub-section (1), if the movable and immovable property of the defendant needs to be released from attachment, the concerned court shall implement the settlement by releasing such property as well. (5) When settling under sub-section (1), the opinion of the government attorney shall be obtained. (6) When settling under sub-section (1), if there is more than one defendant, and the loss attributable to the concerned defendant is ascertained, a settlement may be made by paying the loss relating to one's own share. (7) When settling under sub-section (1), the procedure mentioned in the National Criminal Procedure Code, 2074 shall be followed. 132.

Limitation for filing a complaint: (1) A person who becomes aware that someone has committed or is about to commit an offence punishable under Section 124 shall file a complaint within amended by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. one year from the date of such knowledge. (2) A person who becomes aware that someone has committed an act liable to a fine under Section 125 shall file a complaint with the Registrar or an officer authorized by the Registrar within ninety days from the date of such knowledge. 133. Right to appeal: (1) A person aggrieved by a decision to refuse registration of a cooperative society under Section 16 or to cancel the registration of a cooperative society under Section 88 may, within thirty-five days from the date of receipt of information of such decision, appeal against the decision of the officer authorized by the Registrar to the Registrar, and against the decision of the Registrar to the Secretary of the Ministry. (2) A person aggrieved by a fine under Section 125 or a punishment under clauses (gha) and (?a) of sub-section (1) of Section 128 and clauses (ga), (gha) and (?a) of sub-section (2) of the same section may, within thirty-five days from the date of receipt of information of such decision, appeal as follows:- (a) Against a decision made by an officer authorized by the Registrar, to the concerned District Court, (b) Against a decision made by the Registrar and Nepal Rastra Bank, to the concerned High Court. 134. Recovery: If any person fails to pay a fine or any amount payable under this Chapter, such fine or amount shall be recovered from such person as a government due. Chapter-20 Miscellaneous 135.

Special provisions relating to operation of institutions: (1) Notwithstanding anything contained elsewhere in this Act, an institution like Sajha Yatayat, Sajha Prakashan, Sajha Swasthya Sewa, Sajha Bhandar, Sajha Sewa, which at the time of commencement of this Act is under the ownership or control of the Government of Nepal, Provincial Government, or Local Level, or under the ownership or control of the National Cooperative Development Board, and in which the Government of Nepal holds fifty-one percent shares, shall not sell, mortgage, or lease out for a period of five years or more its houses, land, and other similar immovable property without the approval of the Government of Nepal. (2) The Government of Nepal, Provincial Government, or Local Level shall give priority to the provision of goods or services provided by the institutions referred to in sub-section (1), and may also provide financial assistance to and collaborate with such institutions. (3) Notwithstanding anything contained elsewhere in this Act, other provisions relating to the operation and management of the institution referred to in sub-section (1) shall be as prescribed. Added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081.135a.

Committee may be formed to return savings amount: (1) Notwithstanding anything contained elsewhere in this Act, if a cooperative society is unable to return the savings amount to its members due to reasons including failure to recover loans, if the Board of Directors acts against the interest of members, or if a majority of the directors of the Board are absent from the institution, or if the general meeting cannot be held as per this Act resulting in failure to return the members' savings amount, at least fifteen percent of the members of the institution may submit an application to the concerned cooperative oversight body for approval to form a Savings Return Committee and operate the institution for the purpose of taking over the institution's assets and returning the members' savings amount. (2) Upon receipt of an application under sub-section (1), the concerned cooperative oversight body shall maintain records and grant approval to form such a committee and operate the institution. (3) After obtaining approval under sub-section (2), the members submitting the application under sub-section (1) shall form a Savings Return Committee and immediately inform the concerned cooperative oversight body about the operation of the institution. (4) The committee formed under sub-section (3) shall hold a general meeting within six months of its formation. (5) The committee under sub-section (3) shall exercise the powers and perform the duties vested in the committee under this Act. (6) When returning the savings amount of members, the committee under sub-section (3) shall return the savings amount subject to Section 108ka. (7) The committee formed under sub-section (3) shall separately prepare and safely maintain records of the amount recovered from debtors, income from movable and immovable assets of the institution, and the details of savings amounts returned to depositors for the purpose of returning savings amounts to depositor members, and shall submit such details to the concerned cooperative oversight body every three months. (8) Upon receipt of the details under sub-section (7), the concerned cooperative oversight body may issue necessary directives to the committee formed under sub-section (3). (9) The amount recovered from debtors under sub-section (7), income from movable and immovable assets of the institution, and proceeds from the sale of the institution's assets shall be deposited in a separate account opened in a Class "A" bank licensed under the prevailing law relating to banks and financial institutions, and the savings amount of depositor members shall be paid from that account. (10) Notwithstanding anything contained elsewhere in this Act, a member of the committee under sub-section (3) shall not be held liable for any acts or actions done contrary to this Act prior to assuming responsibility under this section, and no legal action shall be taken against him/her in that regard.

136. Exercise of voting right: (1) No matter how many shares a member has purchased in a cooperative society, he/she may exercise his/her voting right in the operation of the concerned cooperative society on the basis of one member, one vote.

(2) Notwithstanding anything contained in sub-section (1), in the case of a union, more than one representative may be sent for the purpose of attending the general meeting as prescribed, and the provisions relating to sending representatives shall be as prescribed.

(3) Notwithstanding anything contained in sub-section (2), more than one person from a single institution or union shall not be elected to the committee or audit supervision committee of the concerned union. 137. May conduct social audit: (1) A cooperative society may conduct a social audit on matters including decisions and actions taken by the committee to achieve the objectives mentioned in the bylaws, services received by members and the level of satisfaction, and positive changes in the economic, social, cultural and environmental aspects of members' living standards resulting from receiving services.

(2) The report of the social audit conducted under sub-section (1) shall be presented by the committee to the general meeting for discussion.

(3) The general meeting may, after discussing the social audit report presented under sub-section (2), issue directives to the committee as necessary.

(4) One copy of the social audit report under this section shall be submitted by the concerned cooperative society to the Registrar or an officer authorized by the Registrar, and in the case of a Cooperative Bank also to Nepal Rastra Bank. 138. Cooperative education: (1) The Government of Nepal may include basic cooperative knowledge in the school level curriculum and also provide necessary support to establish a cooperative school or a cooperative faculty or school of cooperative under a university.

(2) Other provisions relating to cooperative education, including accreditation of cooperative institutions or bodies conducting cooperative educational activities, shall be as prescribed. 139. Not to provide financial assistance: No fund of a cooperative society shall be provided as financial assistance to anyone other than a member, except for social work. Explanation: For the purpose of this section, "social work" means work related to education, health, environmental protection, humanitarian aid, and promotion of cooperatives. 140. May conduct inter-cooperative transactions: (1) Notwithstanding anything contained elsewhere in this Act, cooperative societies may conduct inter-cooperative transactions among themselves.

(2) The procedure for inter-cooperative transactions shall be as prescribed. 141. Tax provisions: Notwithstanding anything contained elsewhere in this Act, cooperative societies conducting financial transactions within the metropolitan, sub-metropolitan, and municipality areas shall be subject to tax of ten percent, seven percent, and five percent respectively.

Provided that, cooperative societies conducting financial transactions within the rural municipality area shall not be subject to tax. 142. Not to award contracts: A cooperative society shall not award any contract of the society to a director of its committee, or to the coordinator or member of its audit supervision committee, or to its employee. 143. Dispute resolution: If any dispute arises among cooperative societies, a dispute resolution committee may be formed as prescribed for the resolution of such dispute. 144. May provide incentives: An individual, cooperative society, or other body making a significant contribution to the promotion of the cooperative sector may be incentivized as prescribed. 145. Departmental action to be taken: An employee who makes malafide use of the powers mentioned in this Act and the rules made under this Act shall be subject to departmental action according to the prevailing law. 146. Recovery as government due: If any government grant or any service facility received by a cooperative society is found to have been misused, it shall be recovered as a government due according to the prevailing law. 147. Prevailing Company Act not to apply: The prevailing Act relating to companies shall not apply to a cooperative society registered under this

Act. 148. No bar to action under prevailing law: Nothing contained in this Act shall be deemed to prevent the filing of a case in court against any person under the prevailing law. 149. Power to make rules: The Government of Nepal may make necessary rules for the implementation of this Act. Amended by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.150.

Special provisions relating to regulation, monitoring and supervision: (1) The regulation, monitoring and supervision of a cooperative society registered at the local level and having an annual transaction of up to twenty-five crore rupees shall be carried out by the concerned local level. (2) The regulation, monitoring and supervision of a cooperative society registered at the local level and having an annual transaction of more than twenty-five crore rupees up to fifty crore rupees, and a cooperative society registered at the province level and having an annual transaction of up to fifty crore rupees, shall be carried out by the concerned province. (3) The regulation, monitoring and supervision of a cooperative society registered at the local level or province level and having an annual transaction of more than fifty crore rupees, and a cooperative society registered with the department, shall be carried out by the department. (4) The regulation, monitoring and supervision of a cooperative society whose area of operation covers two or more local levels or provinces and which has an annual transaction as per sub-section (1) or (2) shall be carried out by the local level or province where the central office of such society is located. (5) Notwithstanding anything contained in sub-section (1) or (2), if a request is made by the concerned local level or province to carry out regulation, monitoring and supervision of any cooperative society on a risk basis, the department may carry out regulation, monitoring and supervision of such society. (6) In addition to sub-sections (1), (2), (3), (4) or (5), Nepal Rastra Bank shall also carry out regulation, inspection and supervision of a cooperative society having a share capital of more than fifty crore rupees or having an annual transaction equivalent to that amount, on the basis of financial governance and risk, upon the request of the department. (7) Notwithstanding anything contained elsewhere in this Act, if a complaint or grievance is received regarding non-compliance with this Act or the regulations, procedures, directives, guidelines or instructions issued under this Act, the department may carry out regulation, monitoring and supervision of any cooperative society. (8) The department may, through a committee consisting of representatives of bodies as prescribed according to the nature of the cooperative society's work and subject matter experts, cause regulation, monitoring and supervision of such society to be carried out. Added by the Some Nepal Acts Amendment Act, 2075.150ka.

Must comply with directive on prevention of money laundering: (1) A cooperative society shall comply with the directives issued by the body under the prevailing law relating to the prevention of money laundering, terrorist activities, or the manufacture and proliferation of weapons of mass destruction or financial investment therein, as amended by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.. (2) The provision under sub-section (1) shall apply equally to cooperative societies registered or operated under provincial or local cooperative laws. (3) The provincial government or local level shall ensure that the directive under sub-section (1) is applied to cooperative societies registered or operated under sub-section (2). Added by the Act to Amend Some Acts relating to Prevention of Money Laundering and Promotion of Business Environment, 2080.(4) Regarding compliance or non-compliance with the directive issued under sub-section (1), the Registrar or an officer authorized by the Registrar may, on a risk basis, monitor, inspect, and take necessary action and impose punishment as per the prevailing law. 151. May formulate and implement standards, directives or procedures: (1) The Ministry may, subject to this Act or the rules made under this Act, formulate and implement standards, directives or procedures as necessary to conduct in an organized and effective manner the work including registration, operation, inspection and monitoring of cooperative societies. Added by the Act to Amend Some Acts relating to Prevention of Money

Laundering and Promotion of Business Environment, 2080.(1ka) Nepal Rastra Bank shall formulate and issue standards relating to regulation, inspection and supervision of cooperative societies conducting main business of savings and loans. (2) While formulating standards under sub-section (1), separate standards may be formulated for institutions or unions conducting main business of savings and loans based on internationally recognized standards adopted for the security of members' savings and institutional sustainability. (3) While formulating standards under sub-sections (1) and (2), consultation with Nepal Rastra Bank and other concerned bodies may be taken as necessary. 152. Repeal and saving: (1) The Cooperative Act, 2048 is hereby repealed. (2) All acts and actions done under the Cooperative Act, 2048 shall be deemed to have been done under this Act.